THE LOCAL COST OF PARTISANSHIP

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ABSTRACT. Whether partisanship reaches local economies, and through what channel, is an open question. I study it in the U.S. municipal bond market, pairing a close-gubernatorial-election design, which generates quasi-random variation in the partisan alignment between governors and the president, with the yields at which local governments borrow. Bonds issued by misaligned states trade at higher yields: roughly 12 basis points in the secondary market and 34 basis points at issuance. The premium is hard to attribute to investor pessimism or a weaker tax base, since revenue-bond yields and tax revenues do not move, but it lines up with a contraction in federal intergovernmental transfers that is concentrated at the county level and in categories over which the federal executive has discretion. Misaligned counties also experience lower private-sector employment and personal income. The premium is asymmetric: it appears under Republican governors facing a Democratic president, even though measured policy uncertainty rises in both configurations. Taken together, the evidence points to a fiscal channel running from the federal government to local budgets rather than to household behavior.

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1. Introduction

Does partisanship affect local economies? The question matters for assessing the economic consequences of two decades of deepening polarization (Iyengar et al., 2012; Iyengar and Westwood, 2015), and the evidence so far is mixed. Partisanship shows up in financial decisions and asset prices: in household portfolios (Bonaparte et al., 2017), in credit ratings (Kempf and Tsoutsoura, 2021; Cunha et al., 2022), and in equity, currency, and credit markets (Della Corte and Fu, 2024; Santa-Clara and Valkanov, 2003; Brogaard et al., 2020; Pastor and Veronesi, 2020). Partisans also hold very different forecasts of inflation, unemployment, and growth depending on which party controls the White House (Mian et al., 2023). Yet the most direct test of whether these beliefs reach real activity comes up empty. Mian et al. (2023) show that the partisan gap in households' macroeconomic expectations is not matched by any change in what households actually spend, and read the gap as cheerleading rather than conviction. One could conclude from this that partisan sentiment stops at the survey response. I suggest a narrower reading: household data can only detect effects that operate through households. If partisanship reaches local economies through some other margin, such as the fiscal relationship between one government and another, surveys and spending data would miss it regardless of its size.

This paper asks whether partisan misalignment between state governments and the federal executive affects local economies, and through what mechanism. Identification requires two elements: a measure that registers changes in local economic conditions and a source of variation in partisanship across local economies that is plausibly orthogonal to those conditions. I use municipal bond yields for the first and close gubernatorial elections for the second.

Municipal bond yields are a useful summary of local conditions because a general obligation bond is a claim on the issuing government's overall fiscal capacity, so its yield prices whatever moves that capacity. Partisanship could reach the bond in two ways. Misalignment might change fundamentals, by shrinking the tax base or the federal transfers that feed the general fund. Or it might change nothing real at all: the in-state retail investors who hold most of this market (Babina et al., 2020) might simply demand more compensation when the opposing party holds the presidency. Both possibilities surface in the same yield, which is what makes the market informative. If misalignment moves yields at all, partisanship has a measurable local effect, and the cross-section of bond types together with the underlying government balance sheets offers a way to tell the two explanations apart. To my knowledge, this large and central market has not been examined for partisan pricing of this kind.

The variation comes from close gubernatorial races. An election hands one partisan label, the governor's party, to every county in the state, and when the race is decided by a narrow margin that label is plausibly unrelated to underlying conditions: small idiosyncratic

shocks tip narrow contests, so which party ends up in the governor's office is, conditional on closeness, close to a coin flip with respect to the fundamentals that drive yields. I compare yields in counties whose label matches the president's party against counties where it does not, restricting attention to states whose most recent race was close. Designs of this kind appear in Colonnelli et al. (2020a), Fisman et al. (2014), Babina et al. (2020), and Gao et al. (2019).

Beyond what it reveals about partisanship's reach into local economies, the municipal bond market matters in its own right. The cost at which local governments borrow in this market shapes the real provision of public goods. Municipal bonds finance schools, roads, hospitals, water and sewer systems, transit, and a wide range of other infrastructure: close to two-thirds of U.S. infrastructure investment was financed through this market in 2019, and by 2024 it amounted to roughly $4.2 trillion in outstanding debt—about 15% of GDP—with roughly $513 billion issued in that year alone (Securities Industry and Financial Markets Association (SIFMA) (2025); Boyer (2020)). The political determinants of borrowing costs in a market of this scale are therefore not a second-order question.

Misalignment turns out to be priced. In the two years after a close election, general obligation bonds issued by misaligned states trade at higher yields in both markets: roughly 34 basis points at issuance and 12 in secondary trading, estimated within issuer and month of trade. For scale, the issuance premium exceeds the yield response to a credit-rating upgrade estimated by Adelino et al. (2017), and both figures are several times the climate and biodiversity premia documented for this market. The estimate changes little under alternative measurement and sample choices; spreads over a maturity-matched AAA benchmark in place of raw yields, looser trade filters, entity-level issuer definitions, and the inclusion of callable bonds all leave it intact or larger. The design also survives the validation exercises I run. Yields of eventually-misaligned and eventually-aligned states do not diverge in the two years before the election, and they do not jump at the election either; the premium follows the level of alignment over the post-election window, which is what the pricing of a fiscal relationship, rather than an election-night surprise, would produce. Inference deserves its own sentence. Model-based standard errors clustered by state-year, state, or episode reject zero at the one percent level, while randomization inference, which asks what the thirty-nine close-election episodes can establish on their own, puts the two-sided p-value near 0.11. I report both and read the point estimate with that range in mind.

The mechanism section works through the two channels in turn. Investor sentiment is the natural first suspect, and it has observable implications. If partisan pessimism among local retail investors drove the premium, the pessimism should leave tracks in the local economy: weaker consumption (Carroll et al., 1994) would compress sales- and income-tax collections, and the project cash flows that service revenue bonds would soften along with

local activity. Neither track appears. Tax revenues do not move, and revenue-bond yields stay flat, including for bonds whose pledged revenues are most sensitive to local activity, such as tolls, transit systems, and convention centers. What moves is federal money. Estimated with a count model that accommodates the many zeros in the transfer data, per-capita federal transfers to misaligned governments fall by roughly twenty percent at the county level, with no comparable decline at the state level and no response of own-source taxes. The composition of the decline points toward administrative discretion: highway grants and a residual of smaller discretionary programs fall while formula and entitlement programs hold steady, and the counties that depend most on federal transfers are the ones whose bonds reprice most. The real economy registers the same shock. Misaligned counties lose private-sector employment and personal income over the window.

Two further results sharpen the interpretation. The premium has a direction. It appears when a Republican governor faces a Democratic president and not in the reverse configuration, even though measured state policy uncertainty, from the Baker et al. (2022) state indices, rises by similar amounts in both. Uncertainty is generated on both sides of the aisle; the market prices it on one. Divided federal government by itself does not account for the asymmetry, since misaligned Democratic governors under a split Washington carry no premium, though I cannot separate the priced configuration from the Obama-era years in which it occurs, a limitation I state rather than resolve. The premium is also strongest early in the governor's term and fades over it, while the transfer gap persists, a pattern consistent with the market pricing a new and uncertain fiscal relationship most heavily at the start and updating as the relationship plays out. A compact structural calibration in the spirit of Goldsmith-Pinkham et al. (2023) helps organize these magnitudes.

The paper contributes to three literatures. The first is the empirical literature on political partisanship in financial markets. I provide causal evidence for an asset class, municipal bonds, that has not been examined in this literature, using an identification strategy designed for a causal interpretation. Bonaparte et al. (2017) document that party affiliation shapes household portfolio choice. Kempf and Tsoutsoura (2021) find that analysts not aligned with the president assign systematically lower corporate credit ratings. Jha et al. (2022) show that political beliefs do not net out in the aggregate and can move prices in deep, liquid markets. Presidential cycles predict currency returns (Della Corte and Fu, 2024) and equity outcomes (Santa-Clara and Valkanov, 2003; Brogaard et al., 2020; Pastor and Veronesi, 2020); Kempf and Tsoutsoura (2024) review the field. In the municipal setting, Cunha et al. (2022) document that rating changes influence local elections, and Dagostino and Nakhmurina (2026) study partisan alignment between cities and their state governments; my margin is the state's alignment with the federal executive, where the intergovernmental transfer relationship is largest. On real outcomes the record is mixed: household consumption does

not respond to partisanship (Mian et al., 2023), while business formation does (Engelberg et al., 2025).

The second literature is on the determinants of municipal bond pricing. Cornaggia et al. (2017) show that rating changes unrelated to fundamentals nonetheless move yields. Adelino et al. (2017) exploit this variation to estimate that a rating upgrade raises local government spending, with a local income multiplier near 1.9. Babina et al. (2020) document that residency-based tax exemptions segment ownership and limit cross-state risk sharing. Schwert (2017) decomposes municipal spreads and attributes most cross-sectional variation to default risk rather than to liquidity. A separate strand prices environmental exposure into municipal debt (Painter, 2020; Goldsmith-Pinkham et al., 2023); I use the magnitudes from this work as benchmarks for the partisan effect I identify.

The third literature, on the real consequences of political partisanship (Iyengar et al., 2019), is where the paper makes its central contribution. The question that motivates me is the Mian et al. (2023) result: partisanship moves economic expectations substantially but leaves household consumption unchanged. I reconcile and extend that finding. Partisanship does have real effects; they do not propagate through household spending, which is why they are not detected in household data. They propagate through the intergovernmental fiscal relationship—a government-to-government channel—and from there into local borrowing costs and, ultimately, into private-sector employment and personal income. Identifying intergovernmental transfers as a main mechanism for the real effects of partisanship is, to my knowledge, new. Colonnelli et al. (2020b) and Colonnelli et al. (2022) document that partisanship shapes hiring in a different institutional setting.

The closest paper to ours is Gao et al. (2019), who examine how political uncertainty around gubernatorial elections affects municipal borrowing. I differ in two respects. I isolate a specific source of variation, the partisan match between state and federal executives, rather than electoral uncertainty in general. And I construct the close-election comparison so that the estimate admits a causal interpretation.

The remainder of the paper is organized as follows. Section 2 describes the institutional setting and Section 3 the data. Section 4 sets out the empirical strategy and the evidence behind it, including an event study of yields around the elections. Section 5 reports the effect of misalignment on borrowing costs, its robustness, and both model-based and design-based inference. Section 6 examines the mechanism. Section 7 studies the direction of the premium and its relation to measured policy uncertainty, and Section 8 offers a pricing interpretation. Section 9 reports the real-economy consequences; the instrumental-variables analysis of the borrowing-cost channel appears in the appendix. Section 10 concludes.

2. Institutional Background

This section provides the institutional detail required to interpret the empirical design: how governors are elected and what fiscal authority they exercise, and how the municipal bond market is organized, financed, and held.

2.1. **Gubernatorial Elections and the Fiscal Role of Governors.** Governors are the chief executives of their states. They prepare and execute the state budget, oversee the executive agencies, and set the administration's fiscal priorities. Most states elect their governor to a four-year term; a small number, including New Hampshire and Vermont, hold elections every two years. Winners are determined by simple plurality, and the timing of each race is fixed in either presidential or midterm years. Two parties dominate; the occasional third-party governor is excluded from the sample.

For my purposes, the relevant point is that a governor is not a passive administrator of pre-set transfers. State budgets are heavily intertwined with the federal government through intergovernmental revenue, which funds substantial shares of spending on health, education, transportation, and welfare. A portion of this revenue is allocated by statutory formula and is, in practice, insulated from the party in office at either level. A substantial portion, however, is discretionary or semi-discretionary: it flows through competitive grants, project-based awards, and general-purpose support whose timing and allocation depend on negotiation, application, and administrative judgment. The governor and the executive agencies under the governor's authority negotiate with the federal departments that administer this funding. When the two executives are political allies, coordination is smooth. When they are political opponents, coordination can deteriorate, applications can stall, and discretionary support can slow.

2.2. **Municipal Bonds: Types, Issuance, and Holders.** State and local governments issue municipal bonds to finance public investment, typically long-lived infrastructure such as roads, schools, utilities, and public buildings. The asset class divides into two broad categories that differ in what backs repayment, and the distinction is central to the identification of the mechanism.

General obligation (GO) bonds are repaid out of the issuer's general revenues, primarily taxes, and are not tied to the cash flow of any specific project. Their creditworthiness reflects the issuer's overall fiscal capacity: its tax base, its budget, and the intergovernmental transfers it receives from higher levels of government. Revenue bonds, by contrast, are serviced by the cash flow of a designated project—a toll road, an airport, a water or sewer system—so their risk reflects the performance of that project rather than the issuer's general budget. The distinction provides a built-in placebo. If misalignment raised yields because investors

anticipated a general local economic contraction, both GO and revenue bonds should respond, since a weaker local economy reduces both tax revenues and project cashflows. If, instead, misalignment operates through the issuer's general fiscal position, through transfers that flow into the general fund, then GO bonds should respond while revenue bonds should not.

Bonds reach the market through either a competitive or a negotiated sale. In a competitive sale the issuer solicits underwriter bids and awards the deal at the lowest yield. In a negotiated sale, the issuer chooses an underwriter in advance and the two parties agree on terms and pricing through direct negotiation. Larger and higher-rated issuers more often sell competitively, while negotiated sales are more common when market conditions are uncertain. The empirical analysis distinguishes primary-market trades from secondary-market trades and reports both, since the two capture, respectively, the cost at the moment of borrowing and the ongoing market valuation of the bond.

A defining feature of the asset class is its tax treatment. The interest these bonds pay is exempt from federal income tax, and in many states from state income tax as well. Most states extend the state-tax exemption only to their own residents, not to out-of-state holders. This generates a natural segmentation: in-state investors capture the full tax benefit and therefore have the strongest incentive to hold their own state's bonds, so the marginal investor in a given state's bonds is disproportionately a local resident. Holdings are also tilted heavily toward retail rather than institutional investors (Municipal Securities Rulemaking Board, 2021; Babina et al., 2020). Both features matter for how I read the expectations channel later on. The marginal holder of these bonds is a local household, and local households are the population in which Mian et al. (2023) document partisan gaps in economic expectations, so if partisan sentiment is priced anywhere, this market gives it a fair chance to show up.

3. Data

The analysis combines three data sources: transaction-level municipal bond data merged with bond characteristics, county-level gubernatorial election returns, and government balance-sheet data. I describe each, together with the relevant cleaning and construction choices, in turn.

3.1. **Municipal Bonds Data.**

Transaction records are obtained from the Municipal Securities Rulemaking Board (MSRB) and cover every municipal trade executed in the United States between 2003 and 2020. The records report trade prices, yields, par amounts, timestamps, and trade type, and indicate whether a trade is in the primary or the secondary market. I merge bond-level characteristics from the Mergent Municipal Bond Securities Database: use of proceeds, bond type (GO versus revenue), insurance status, capital purpose, total amount issued, and the state of issuance. I add Refinitiv data that map CUSIP

identifiers to issuing counties and provide coupon information (fixed versus variable) that is unevenly reported in Mergent. The merged dataset identifies, for each trade, the security, the issuer, the geography, the purpose of the borrowing, and the price.

The cleaning sequence follows standard practice in the literature, both to maintain comparability across bonds and to remove instruments whose prices are not informative about the issuer's own fundamentals. Table 1 reports the observation loss at each cleaning step for GO bonds, with the revenue-bond counterpart in Appendix Table A1. I drop insured bonds so that yields reflect the issuer's credit rather than a third-party guarantee. I retain only customer-buy trades and discard interdealer trades, which limits the bid–ask bounce that would otherwise contaminate the time series (Gao et al., 2019; Rizzi, 2022). I remove callable and puttable bonds, whose embedded options distort yields, and drop state-taxable and federally taxable bonds. I also exclude third-party-guaranteed bonds, such as those backed by state or federal agencies. Following Goldsmith-Pinkham et al. (2023), and consistent with Green et al. (2007) and Schultz (2012), I drop trades within one year of maturity, when municipal bonds are rarely traded and the resulting yields are noisy. I retain fixed-coupon bonds with non-missing trade dates and restrict the main sample to GO bonds, which are backed by the issuer's full taxing power and therefore provide the cleanest measure of the cost of borrowing.

These steps leave a cleaned GO panel of approximately 1.6 million customer trades on 107,556 distinct bonds over 2005–2019 (Table 1). Restricting the panel to close gubernatorial elections, the two post-election years, and bonds with more than five trades yields the estimation sample. Ending the bond sample in 2019 avoids the COVID-19 pandemic, the Federal Reserve's Municipal Liquidity Facility, and the unusual policy environment of the 2020 cycle. The revenue-bond sample, used to test the mechanism, is constructed identically and summarized in Appendix Table A2.

3.2. **Elections Data.** Gubernatorial returns are obtained from Amlani and Algara (2021), which records county-level results back to 1865, including votes by candidate, party affiliation, and year. I aggregate the county returns to the state level for each race to compute the statewide winning margin and identify close races. To maintain internal consistency, I drop Vermont and New Hampshire, whose two-year cycle does not align with the rest of the sample, and I retain only even-year elections (presidential and midterm years). These restrictions remove a handful of races and do not materially affect the composition of the sample.

3.3. **Local Government Balance Sheet Data.** To examine the fiscal mechanism I use the Government Finance Database of Pierson et al. (2015), which standardizes the U.S. Census Bureau's annual surveys of state and local government finances from 1967 onward. The database covers every major tier of subnational government—states, counties, municipalities,

townships, school districts, and special districts—and reports finances in functional detail. I focus on the items most directly relevant to borrowing capacity and fiscal stress: total federal intergovernmental transfers (in aggregate and disaggregated by function), total revenue, total expenditure, and tax revenue. The functional disaggregation of transfers allows me to examine not only whether federal funding declines under misalignment but which categories of federal funding decline, which is central to the interpretation.

4. Identification and Empirical Strategy

I compare municipal yields between states whose governor is aligned with the president and states whose governor is not, within the set of states whose most recent gubernatorial race was decided by a narrow margin, holding fixed the issuer and the period of trade. The close-race restriction is central to identification. In a race decided by a narrow margin, the party that ultimately controls the governorship is, conditional on observables, plausibly unrelated to the state's fiscal condition. Conditional on the race being close, whether a state is aligned or misaligned with the president can therefore be treated as quasi-random with respect to the fundamentals that drive yields. Close-election designs of this kind are used by Colonnelli et al. (2020a), Fisman et al. (2014), Babina et al. (2020), and Gao et al. (2019). I treat alignment as quasi-random within races decided by 6.5 percentage points or fewer and pool all such elections. The threshold corresponds to the first quartile of the distribution of gubernatorial winning margins in the universe of races I consider; I adopt a deliberately tight cutoff to strengthen the identification.

The baseline specification uses GO bonds traded in the two years following each close election, excluding the election year itself, and takes the yield to maturity as the outcome:

$$\begin{aligned} \text{yield}_{ibsct} = \beta \cdot \text{Misaligned}_{st} + \theta \cdot \text{MV}_{st} \\ + \phi \cdot \textit{time to maturity}_b + \mathbf{X_b}\boldsymbol{\gamma} + \lambda_t + \delta_c + \epsilon_{ibsct}, \end{aligned} \tag{4.1}$$

where yield_{ibsct} is the yield at trade i of bond b, in state s, county c, in month-year t. Misaligned_{st} equals one when the governor of state s comes from a different party than the president at time t. MV_{st} is the winning margin in the relevant gubernatorial race, included as a control for electoral closeness. $\textit{time to maturity}_b$ is measured in months. The vector $\mathbf{X_b}\boldsymbol{\gamma}$ collects bond-level controls (capital purpose, use of proceeds, amount issued in USD, and trade size in USD) together with the issuer's per-capita real GDP and own-source general revenue measured at the election year, so that the comparison holds fixed baseline economic activity and the issuer's own fiscal capacity.[1] The specification includes month-year fixed effects λ_t and issuer fixed effects δ_c. The issuer is the county or, for state-level issuers, the state. Identification rests on variation in alignment within the same issuer over time, net

[1] Appendix Table A4 defines every variable in $\mathbf{X_b}\boldsymbol{\gamma}$.

of common period effects. The parameter of interest is β, the average effect over the two post-election years. Standard errors are clustered by state $\times$ year.

A few features of the design are worth noting. The unit of treatment assignment is the state-election: a close gubernatorial race fixes the alignment of the state for the post-election window, and the resulting label applies to every county in the state. Misaligned_{st} is determined by the party of the governor elected in that race relative to the party of the sitting president, and the window begins the January after the election and runs for the following twenty-four months, excluding the election year. The bond sample spans 2005–2019; the gubernatorial elections that anchor the windows occur from 2004 through 2018, and the windows span the Bush, Obama, and Trump presidencies. The two-year post-election window is calendar-aligned to a single presidential term. Both the governor (set by the close election) and the president are fixed for the duration, so a state's alignment status does not change during the two-year window. The unit of observation in Equation 4.1 is the bond trade, and β is identified from within-issuer variation in alignment across the period of trade, net of common month-year shocks.

4.1. **Validation: Yields Around the Elections.** Two kinds of evidence support treating alignment as quasi-random. The first is the composition of the close-election sample, reported in Table 2: 46 close gubernatorial races across 26 states over eight even-year cycles, with a mean winning margin of about three percentage points and a nearly even split between aligned and misaligned outcomes (24 versus 22). The second is the behavior of yields around the elections themselves, which I examine with an event study.

For every close episode I collect the state's general obligation trades from twenty-four months before the November election through the end of the post-election window, bin event time into quarters, and trace the yield path of states whose election changes their alignment against states whose election leaves it unchanged, absorbing the sitting regime's own path and including the controls and fixed effects of the main design. Figure 1 plots the coefficients. The profile is flat on both sides of the vote. Yields do not drift toward the eventual outcome over the two pre-election years, and they do not jump when the result arrives; the premium follows the level of alignment over the window rather than the news of the election. This is the pattern one would expect if the market prices a fiscal relationship that operates over the governor's tenure, and not the pattern of an announcement effect or of anticipatory positioning.

Table 3 pushes the same panel further and provides what I consider the sharper check. It splits the yield differential into the part attached to the change in alignment produced by the election and the part attached to the sitting regime's prior status, estimated separately before and after the vote. If the market prices the current alignment, the two components should carry the same premium after the election, since current status is the sum of prior

status and the change, and the change should carry nothing beforehand. The post-window estimates satisfy the equality: 0.126 on the change and 0.148 on the prior status, both close to the baseline estimate. The pre-window estimates carry an excess of roughly 0.25 on both margins that disappears after the vote. States heading into status-changing close races trade somewhat high beforehand, for reasons I cannot fully pin down; late-term incumbent dynamics and anti-incumbent selection in states where conditions have deteriorated are both candidates. What matters for the design is that this elevation never enters the estimation samples, which begin the January after the vote, and that the post-window equality is the restriction my interpretation actually requires. I note, finally, why the balance test I reported in an earlier draft was uninformative: regressing future misalignment on pre-election yields, the reversed form of this check, returns a coefficient near zero even when a forward differential exists, because it scales the same covariance by the much larger conditional variance of yields. The event study and the decomposition replace it (the reversed regression is retained as Appendix Table A10).

5. Results

I describe the sample, estimate the effect of misalignment on yields, and then examine whether misalignment changes the quantity of debt issued rather than only its price.

5.1. **Summary Statistics.** Figure 2 maps the full sample of close gubernatorial elections—every race decided by 6.5 percentage points or fewer over 2004–2018. Table 4 reports primary-market summary statistics. Panel A covers the full 2005–2019 sample; Panel B restricts the sample to the two years after a close race, the window used in the main estimates. Average issuance yields are approximately 1.6% in Panel B and 1.7% in Panel A, with substantial cross-sectional dispersion: the tenth percentile sits below 0.8% and the ninetieth above 2.5%. Bonds mature in approximately five years on average. Issue sizes are right-skewed, with a median around \$5–6 million and a long upper tail, and individual trade sizes are more skewed still, with a median near \$50,000. The two panels are similar, indicating that the post-election window does not select an unusual subset of bonds.

5.2. **Effect of Political Misalignment on Municipal Bond Yields.** Misalignment raises the cost of general obligation borrowing. Table 5 reports estimates of Equation 4.1, pooling the two post-election years across all close races with issuer and month-year fixed effects and standard errors clustered by state × year. In the primary market, misaligned states pay approximately 34 basis points more at issuance; in secondary market the premium is approximately 12 basis points; the complete-sample estimate is the same 12 basis points. All three coefficients are statistically significant at the 1% level. Relative to an average issuance yield near 1.6%, the primary-market premium represents approximately 20% of the mean yield and the secondary-market premium approximately 7

The magnitudes are economically significant relative to other priced risks in this market. Adelino et al. (2017) estimate that a credit-rating upgrade lowers issuance yields by approximately 14 basis points; Goldsmith-Pinkham et al. (2023) estimate a sea-level-rise premium of approximately 5 basis points; Rizzi (2022) estimate a biodiversity-loss premium of approximately 2 basis points. The misalignment premium at issuance exceeds the rating-upgrade effect, and both partisan premia are several times the environmental premia. By these yardsticks, the friction between state and federal executives belongs among the larger priced risks in this market.

The dollar magnitudes follow from the size of the average issue. A typical primary-market GO issue in the post-close-election window is approximately $13.9 million and matures in approximately five years (Table 4, Panel B). The primary-market premium implies approximately $48,000 of additional annual interest for the average issue, or approximately $240,000 over the bond's five-year life. The secondary-market and complete-sample premium implies approximately $17,000 per year, or approximately $85,000 over the same horizon. Aggregated across the close-election cohorts in my sample and the broader population of misaligned-state borrowing in the period, these per-bond figures translate into tens of millions of dollars of additional debt service—costs borne by misaligned states that do not finance any incremental public service.

A natural concern is that misalignment alters the quantity of debt that governments choose to issue rather than only the price at which they issue it. A shift in supply could mechanically move yields without any change in perceived risk. Table 8 addresses this directly. I construct an issuer-by-calendar-year panel of *active issuers*: counties or states that placed at least one distinct bond (a unique CUSIP-6 by offering-date pair) of the relevant type within the two-year window around a close gubernatorial election. Each active issuer-cohort contributes two post-election year-rows, and a year with no issuance is treated as a genuine zero rather than a missing observation. I regress on misalignment three margins of borrowing activity: the log of one plus the annual number of distinct issues, the log of one plus the annual dollar amount issued, and an indicator for any issuance in the year. Each margin is estimated separately for GO bonds and, as a placebo, for revenue bonds. None of the six coefficients is significant. The point estimates for GO bonds are negative across all three margins (-0.014, -0.563, -0.043) and the point estimates for revenue bonds are positive (0.122, 1.105, 0.068). The quantity of borrowing does not respond to alignment status, so the yield result is not a supply response.

5.3. **Robustness and Inference.** Table 6 probes the estimate along the dimensions a skeptical reader would want to vary.[2] Column (2) replaces the raw yield with the spread

[2]The robustness and extension tables in this and later sections are estimated on a rebuilt version of the trade panel containing 122,826 close-window trades, against 120,248 in the main tables; the baseline estimate

over a maturity-matched tax-exempt AAA benchmark constructed within my own trade data, which absorbs maturity-specific macroeconomic and tax conditions; the estimate is essentially unchanged. Column (3) drops the requirement that a bond trade more than five times, adding roughly thirty thousand trades on thinly traded issues, and the estimate rises. Column (4) replaces the county fixed effect with a fixed effect at the level of the bond's ultimate parent organization, so sub-state issuers are no longer pooled with their county; again the estimate is, if anything, larger. Column (5) rebuilds the sample from the pre-cleaning file applying every filter except the exclusion of callable bonds, which roughly triples the trade count; the premium is 0.198 in the pooled sample and 0.252 among callable bonds alone, with no significant difference between callable and noncallable securities. None of the baseline's sample choices generates the result, and the broader universes point to larger rather than smaller premia. Estimates that drop one state at a time stay within $[0.08, 0.18]$ (Appendix Figure A1); Illinois, the state a reader might single out, is not pivotal.

Inference deserves care in this design, because treatment is assigned at the level of the state-election and only thirty-nine episodes carry the close panel. Table 7 reports the baseline under three clustering levels: state-by-year (seventy clusters), state (twenty-three), and episode (thirty-nine). The standard error moves between 0.030 and 0.036, and the estimate remains significant at the one percent level under each. Randomization inference is more demanding. Following Young (2019), I permute the misalignment label across episodes, within election-year strata and, alternatively, as independent fair coin flips over winners; re-estimate the full specification one thousand times under each scheme; and compare the observed studentized statistic with its permutation distribution (Appendix Figure A2). The observed clustered t-statistic is 3.9, but the permutation distribution of that statistic has a standard deviation near 2.3, and the two-sided randomization-t p-value is 0.109 under the stratified scheme and 0.124 under the coin flips. Put differently, thirty-nine close races can distinguish effects of roughly 17 basis points or more from chance, and the 12-basis-point estimate sits inside that band. I read the two views of inference as answering different questions, one conditioning on the realized assignment and one not, and I report both. The stability of the point estimate across samples and outcomes, and the mechanism evidence below, carry part of the burden that a single p-value cannot.

5.4. **Heterogeneity.** The single coefficient in Table 5 averages over heterogeneity that is worth examining. I pursue two cuts, both estimated with the controls and fixed effects of Equation 4.1: whether the premium differs by the level of the issuer (sub-state versus state), and whether it is driven by the state's relationship to the president or by a county's own partisan defeat.

on the rebuilt panel is 0.123, against 0.117 in Table 5. The difference reflects small bookkeeping choices in the panel assembly and matters for none of the conclusions.

Issuer type. The misalignment premium does not differ by issuer type. Table 9 interacts misalignment with a state-level-issuer indicator; the base coefficient captures the sub-state effect and the interaction the state-level differential. The sub-state effect is 0.125 and statistically significant at the 1% level, while the state-level differential is −0.002 and statistically insignificant. The premium thus appears for sub-state issuers and is not different for state-level ones. The interaction uses issuer and month-year fixed effects, as in Table 5, clustered on state × year.

County versus state alignment. My measure compares the governor's party to the president's, but within a misaligned state counties differ in whether their own gubernatorial vote backed the statewide winner. If the premium reflected local partisan disappointment—a county's own candidate losing the governorship—rather than the state's standing with the president, it should appear wherever a county's gubernatorial choice was defeated, regardless of the state's alignment with Washington. Table 10 tests this by partitioning the sub-state close sample into four cells defined by county-level and state-level alignment, with aligned county and aligned state as the omitted baseline. A county whose own gubernatorial vote was on the losing side, but whose state is aligned with the president, carries no premium (0.010, not significant). The premium appears only when the *state* is misaligned with the president, and by a similar amount whether or not the county itself backed the statewide winner: 0.190 when the county is aligned and 0.148 when it is not, a difference that is not statistically different than zero ($p = 0.14$). What moves yields is the governor–president relationship, not local partisan outcomes—consistent with a mechanism that runs through the state's standing with the federal government rather than through county-level partisanship.

6. Mechanisms

Why do yields rise? A GO bond is a claim on the issuer's general fiscal capacity, which rests on two revenue sources: own-source taxes and federal intergovernmental transfers. Anything that decreases either source raises the default risk priced into the bond. The yield response can therefore arise through two channels that correspond to these two revenue sources and that make distinct empirical predictions. The expectations channel, the partisan pessimism documented by Mian et al. (2023) among the in-state retail investors who hold most of this market, operates through anticipated local economic activity and therefore through the tax base, so it should be reflected in tax revenues and in revenue-bond yields, which track the project cash flows that vary with the local economy. The transfer channel, a contraction in the federal transfers that feed the general fund, operates through the transfer source and does not affect taxes or revenue bonds. I test both and find that the evidence weighs against the expectations channel and toward the fiscal one.

For the fiscal outcomes I estimate

$$FiscalOutcome_{jgt} = \beta \cdot Misaligned_{jt} + \theta \cdot \mathrm{MV}_{jt} + \lambda_{g,t} + \delta_j + \epsilon_{jgt}, \tag{6.1}$$

where $FiscalOutcome_{jgt}$ is, in turn, log per-capita federal intergovernmental transfers, the log ratio of federal transfers to total revenue, or log per-capita tax revenue, for jurisdiction j of government type g in year t. The estimating sample pools the state level with county-aggregated sub-state finances. Table 11 reports per-capita summary statistics for total federal transfers and each of the twelve Census functional categories, separately for the state-only sample, and the county-only sample; Appendix Table A3 reports the same statistics as a share of total government revenue. The model includes jurisdiction fixed effects δ_j and government-type-by-year fixed effects $\lambda_{g,t}$, pools close races over the two post-election years, and clusters by state × year. The core evidence is reported in Table 12, which presents revenue-bond yields, federal transfers, and taxes together. One estimation choice needs stating up front. Many jurisdiction-years report zero transfers in individual categories, and the $\log(1+x)$ transformation treats those zeros asymmetrically (Chen and Roth, 2024), so I estimate the transfer outcomes both in logs and by pseudo-Poisson maximum likelihood (Santos Silva and Tenreyro, 2006), and when the two disagree I give the Poisson estimates priority. Table 13 reports the Poisson estimates by level of government.

The expectations channel is not supported by the data. If partisan pessimism among in-state retail investors were responsible for the GO yield increase, the local economic activity behind that pessimism should be observable in two places. Tax revenues, the source backing GO debt, should decline. Revenue bonds, repaid out of project cash flows that move with the local economy, should reprice in tandem with GO bonds. Neither effect is present. Per-capita tax revenue does not respond to misalignment (Table 12, Panel B, Column (3)), and revenue-bond yields are unaffected across the complete, primary, and secondary samples (Panel A). Nor is the revenue-bond null an artifact of pledges too sluggish to register local conditions: when I split revenue bonds by the elasticity of the pledged stream, the yields backed by activity-sensitive pledges—tolls, airports, transit, parking, convention centers—are as flat as the rest (Appendix Table A13). The finding parallels Mian et al. (2023) in a market setting: partisan pessimism is present in expectations but does not show up in the cash flows the expectations channel would require.

The transfer channel is where the data move. In logs, per-capita federal transfers decline in misaligned governments with no offsetting movement in own-source taxes, and the transfers-to-revenue ratio falls by a similar amount (Table 12, Panel B, Columns (1)–(2)). The Poisson estimates locate the decline (Table 13): transfers to county-level governments fall by roughly twenty percent, transfers to state governments do not fall at all, and the pooled estimate sits in between. The contraction is a local-government phenomenon, which

matches where the yield response itself is strongest. It also appears to be direct. Neither state intergovernmental expenditure to localities nor the revenue counties receive from their state responds to misalignment (Appendix Table A12), so the shortfall arises at the federal–county margin rather than being routed through state budgets. Whatever generates the fiscal stress in misaligned states, it is not a contraction of the local tax base.

Two cross-sectional patterns sharpen this interpretation. First, the response varies with how much a county depends on federal transfers. I split counties at the within-state-election median of per-capita transfer exposure and interact misalignment with an above-median indicator:

$$\begin{aligned} \text{yield}_{ibsct} = \beta_1 \cdot \text{Misaligned}_{st} + \beta_2 \cdot (\text{Misaligned}_{st} \times \text{AboveMed}_{scy}) + \psi \cdot \text{AboveMed}_{scy} \\ + \theta \cdot \text{MV}_{st} + \phi \cdot \textit{time to maturity}_b + \mathbf{X_b}\boldsymbol{\gamma} + \lambda_t + \delta_c + \epsilon_{ibsct}, \end{aligned} \tag{6.2}$$

where AboveMed_{scy} indicates that county c is above the federal-transfer-exposure median for its state-election y. The sample is restricted to sub-state jurisdictions, with controls and fixed effects as in Equation 4.1. Sorting on transfers as a share of revenue (Table 14, Column (1)), counties below the median exhibit a misalignment effect of 0.165 (significant at the 1% level), and the above-median differential is +0.114 (also significant at the 1% level), so the premium is approximately 70% larger for counties most dependent on federal funding. Sorting on per-capita exposure (Column (2)) yields the same pattern. A generic expectations or local-recession explanation does not predict that the premium should load on transfer dependence. Misaligned counties are not uniformly more risky; misaligned counties with greater reliance on federal transfers are.

Second, the composition of the decline leans discretionary, a conclusion I state with more care than the level result. Table 15 disaggregates the log specification by the twelve Census functional categories defined in Pierson et al. (2015); there, the sharpest decline is in *general support*, the broad general-purpose aid over which the federal executive has the most room to slow, redirect, or deprioritize. Under the Poisson estimator, which is the appropriate one given how many zeros the category-level data contain, the categories that decline robustly at the county level are highway grants and the residual of smaller programs outside the twelve named categories, while the general-support estimate keeps its sign but loses precision (Appendix Table A11). What is stable across estimators is the other side of the ledger: the programs bound by statutory formula or entitlement rules—public welfare, which includes Medicaid and TANF; education, governed by Title I; employment security, governed by federal unemployment-insurance rules—do not move under either. I therefore describe the pattern as a contraction concentrated in administratively flexible funding rather than attributing it to any single category. Table 16 pairs each transfer category with the bond

use-of-proceeds purposes carried by the capital projects it funds; entitlement categories that fund current transfers rather than capital projects have no bond counterpart.

The bond side exhibits the same pattern (Appendix Table A5). A pooled regression interacts misalignment with the bond's use-of-proceeds tag, with general-support bonds as the omitted reference. The misalignment effect on general-support bonds is 0.195 and statistically significant at the 1% level: bonds tied to the discretionary category that loses federal funding are the ones whose yields rise. Read against Table 15 through the mapping in Table 16, the use-of-proceeds areas tied to discretionary funding are the ones that reprice, which connects the fiscal first stage to the yield response in incidence as well as in sign; I treat the category-level mapping as suggestive rather than exact. The same exercise on revenue bonds (Appendix Table A9) finds no analogous pattern, consistent with revenue-bond cash flows being insulated from the general-fund channel through which the effect operates.[3]

Two further checks support this interpretation. The contraction in federal funding is observable in an independent data source: measured by federal spending by place of performance, the reductions are concentrated in the more discretionary award types—project grants and loans—in the USAspending data (Appendix Table A7). Misalignment also reduces total and direct expenditure (Appendix Table A8), consistent with budgets contracting as federal support recedes.

7. The Direction of the Premium

The pooled coefficient treats misalignment as symmetric: a Republican governor under a Democratic president and a Democratic governor under a Republican president carry the same label. They are not priced the same way. Table 17 splits the premium by configuration. Misaligned Republican governors carry 0.362 (s.e. 0.139); misaligned Democratic governors carry -0.010; the difference is 0.372 with $p = 0.067$. The pooled 12 basis points is, in the data, a premium on one configuration.

The asymmetry does not come from state-level politics. Controlling for divided state government—a legislature at odds with the governor, the situation of Illinois under Rauner—leaves the misalignment premium at 0.136, and divided government carries its own premium of roughly 18 basis points (Appendix Table A14). Nor does it come from federal gridlock per se. The close-election sample contains misaligned Democratic governors both under unified federal government and under the divided configuration of 2019, and neither cell is priced; misaligned Republican governors, for their part, exist in my window only under divided

[3]Liquidity is an unlikely alternative interpretation. Schwert (2017) attributes most of the cross-sectional variation in municipal yields to credit risk rather than to liquidity, and I find no liquidity response to misalignment. Appendix Table A6 reports statistically insignificant effects on trading intensity, on a yield-based Amihud measure, and on within-bond yield dispersion.

federal government, so on that side direction and gridlock cannot be separated, a limitation of the sample I note rather than resolve (Appendix Table A15).

The transfer side does not share the asymmetry. County-level transfer declines appear under both configurations, with highway grants falling on both sides, and disaster funding, measured from FEMA obligations in USAspending, moves in opposite directions: misaligned states receive more under a Democratic president and less under a Republican one, which reads as presidential discretion operating in both administrations (Table 17, Panels B and C). The alignment margin that matters for the money is informative in its own right: total county transfers respond to the governor's alignment with the president and not to alignment with either chamber of Congress, while highway grants, which pass through congressional reauthorization, respond to the House margin as well (Appendix Table A15). Where the governor's misalignment sits determines which money moves.

If realized flows contract under both configurations, why do prices rise under one? Measured uncertainty supplies part of the answer, and its pricing supplies the rest. Using the state-level policy-uncertainty indices of Baker et al. (2022), misalignment raises measured state policy uncertainty by about 28 log points, and the increase is almost identical across configurations, 0.284 under Republican governors and 0.280 under Democratic ones (Table 18, Panel A). The pricing of that uncertainty is one-sided: within misaligned-Republican episodes, yields co-move with state uncertainty at about 2 basis points per standard deviation, while within misaligned-Democratic episodes they do not, and the difference between the two interactions is significant ($p = 0.012$; Panel B). Both configurations generate uncertainty; the market prices it in one. I am candid about what I cannot rule out: the priced configuration coincides with the Obama-era years of divided federal government, the debt-ceiling and shutdown period, and within my window the configuration cannot be distinguished from its era. What the data do establish is that the asymmetry lives in pricing rather than in the generation of uncertainty or in realized federal flows.

8. A Pricing Interpretation

A simple structural frame helps organize the magnitudes, following the approach Goldsmith-Pinkham et al. (2023) use to interpret the sea-level-rise premium. Treat a general obligation bond as debt against the issuer's fiscal capacity in a Merton (1974) model: the issuer's asset is the present value of the revenues available for debt service, and the credit spread depends on leverage against that asset and on its volatility. Calibrated to the close-election sample, an average tax-exempt yield of 1.60 percent, a maturity near four and a half years, and a 22 basis point spread over a maturity-matched AAA benchmark constructed within my data, the observed 12 basis point premium corresponds to a decline in fiscal-asset value of roughly 6 to 17 percent, or an increase in asset volatility of roughly 6 to 11 percent, across

leverage assumptions spanning 10 to 70 percent. The fiscal channel supplies a bridge for the first margin: a twenty percent contraction in federal transfers, applied to the share of county revenue that federal transfers represent, maps to an asset-value loss of a few percent, inside the implied range at moderate leverage, though I emphasize that the mapping involves assumptions about persistence that the two-year window cannot discipline.

The volatility margin fits two further facts. First, uncertainty is not only implied; it is measured. Misalignment raises state policy uncertainty, and the configuration whose uncertainty the market prices is the configuration that carries the premium (Section 7). Second, the premium has a time profile. Extending the windows over the governor's full term, the premium is strongest in the first year and fades monotonically, from 0.133 in year one to 0.026 in year four on the cohorts whose presidential regime is constant over the term, while the transfer contraction itself persists undiminished (Appendix Table A16). Prices fade while flows do not. That pattern is what one expects if the market prices a new and uncertain fiscal relationship most heavily at its start and updates as the relationship's actual severity is revealed, and it implies that my two-year window measures the premium where it is strongest; a longer window would dilute rather than strengthen it.

9. Real-Economy Consequences

The evidence to this point establishes that misaligned governments lose discretionary federal funding and that bond markets price the resulting fiscal stress. I now examine whether the partisan friction extends to the local economy beyond public budgets. I address this with two county-level outcomes—employment and personal income—on which a contraction in public resources would be expected to register if partisanship has real effects. Tables 19 and 20 report the results.

For each outcome I apply the same close-election design as in Equation 4.1 at the county-year unit of observation. The estimating panel retains the two years following each close gubernatorial race, excludes Vermont, New Hampshire, and post-2014 Oregon for the calendar reasons used throughout, and includes FIPS and calendar-year fixed effects with standard errors clustered by state × year. The controls are the election-year baseline per-capita real GDP, the election-year baseline log population (not for per-capita outcome variables), and the gubernatorial margin of victory.

Employment. Misaligned counties experience employment losses, concentrated in the private sector. Total employment is approximately 1.5% lower over the two post-election years (significant at the 5% level), and the decline is concentrated in private-sector employment (approximately 2.2%, significant at the 1% level). Public-sector employment is essentially unchanged (Table 19). The pattern is the opposite of one in which governments respond to

lost federal funding by reducing their own payrolls first. Over a two-year horizon, public employment is sticky, and the contraction emerges in the private labor market, consistent with a demand-side channel in which compressed public spending and the local contracts it supports induce private firms to reduce employment, rather than with direct public-employment cuts.

Personal income. Personal income declines alongside employment. In misaligned counties it is approximately 2.8% lower in aggregate and 2.2% lower per capita, each significant at the 1% level (Table 20). Personal income aggregates wages, transfers, and proprietors' income at the recipient's residence, so it captures both the private-sector labor-market contraction in Table 19 and the indirect effects of reduced local spending multipliers (Adelino et al., 2017).

The reduced-form evidence is consistent across margins: the partisan-fiscal friction priced in the bond market translates into measurable reductions in private-sector employment and personal income in misaligned counties. The next subsection examines which channel transmits the effect.

9.1. **Which Channel Transmits the Effect?** Misalignment moves two quantities that could reach the real economy: it reduces federal transfers and it raises borrowing costs. The reduced-form estimates above cannot say which one transmits the employment and income effects. Appendix A pursues the question with an instrumental-variables design that moves borrowing costs in isolation, using Moody's April 2010 recalibration of its municipal rating scale, a relabeling that mechanically upgraded many issuers without any change in their fundamentals (Adelino et al., 2017). The instrument behaves as it should, raising Moody's ratings and lowering primary-market yields while leaving S&P ratings unchanged, but the instrumented yield changes do not move county income or employment on their own (Table 21). I read this as evidence against the borrowing-cost channel as the conduit, which leaves the transfer contraction as the leading candidate for the real-economy effects. The attribution is suggestive rather than definitive: the recalibration experiment runs on a different sample and window than the close-election design, and identifying the transfer channel's real effects directly remains for future work.

10. Conclusion

This paper asked whether partisan misalignment between state and federal governments affects local economies, and through what channel. Using municipal yields as the measure and close gubernatorial races as the variation, I find that misalignment is priced. General obligation yields are roughly 12 basis points higher in secondary trading and 34 basis points higher at issuance over the two years after a close election, magnitudes that survive changes in measurement and sample and that exceed, at issuance, the yield response to a credit-rating upgrade. I report model-based and design-based inference side by side: the former

rejects zero at conventional levels under any clustering I tried, while the latter, working with thirty-nine episodes, is less decisive. The paper's case accordingly rests on the stability of the estimate across samples, outcomes, and tests as much as on any single p-value.

The channel looks fiscal rather than psychological. Revenue-bond yields and tax revenues do not respond, including for pledges whose cash flows are most sensitive to local activity, which is difficult to reconcile with an investor-pessimism or local-recession account and parallels Mian et al. (2023) on household behavior. Federal transfers do respond: county-level governments in misaligned states receive roughly twenty percent less per capita, the decline concentrates in administratively flexible funding rather than in formula and entitlement programs, and the counties most dependent on that funding are the ones whose bonds reprice most. The premium is also asymmetric. It appears under Republican governors facing a Democratic president, and the asymmetry sits in the pricing rather than in fundamentals, since measured policy uncertainty rises under both configurations and realized transfer losses appear under both. Over the governor's term the premium fades while the transfer gap persists, which is the pattern a market produces when it prices a new fiscal relationship most heavily at the start and updates as the relationship plays out.

The effects extend beyond prices. Misaligned counties lose private-sector employment and personal income over the same window. An instrumental-variables exercise built on Moody's 2010 rating recalibration suggests that the borrowing-cost increase is not, by itself, what transmits those losses, which points toward the transfer contraction, though I stop short of a causal decomposition and leave it, along with magnitudes beyond close elections, to future work. The conclusion I draw is deliberately bounded: in the period my window covers, partisanship leaves its mark on local economies through the fiscal relationship between governments rather than through household behavior, and the municipal market prices that friction as it would any other deterioration in the resources backing local debt.

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Appendix A. The Borrowing-Cost Channel: the Recalibration Design

This appendix asks whether the increase in borrowing costs is, by itself, the route through which misalignment reaches income and employment. Isolating the borrowing-cost channel requires variation in municipal yields that is orthogonal both to misalignment and to local fundamentals.

This variation is provided by Moody's April 2010 recalibration of its U.S. municipal rating scale. Prior to 2010, Moody's rated municipal issuers on a scale distinct from the one applied to corporate and sovereign borrowers, with the result that many local governments were rated several notches below comparably risky corporate issuers. In April 2010, Moody's recalibrated municipal ratings onto its global scale, mechanically upgrading a large number of issuers without any change in their underlying fundamentals (Adelino et al., 2017). The magnitude of the upgrade received by each issuer was a function of its pre-recalibration

rating, so it was unrelated to contemporaneous local economic conditions or to the partisan alignment of the issuer's state.

For county c, exposure to the shock is the share of its recently rated bonds that the recalibration moved upward,

$$\text{Exposure}_c = \frac{\#\{\text{bonds in county } c \text{ rescaled up in March–April 2010}\}}{\#\{\text{bonds in county } c \text{ rated between April 2006 and April 2010}\}}. \tag{A.1}$$

The numerator counts the distinct CUSIPs in c that received an upward Moody's rating action over March–April 2010; the denominator counts the distinct CUSIPs in c rated over the four-year window preceding the recalibration. The instrument is this exposure measure interacted with a post-recalibration indicator, $\text{Exposure}_c \times \text{Post}_t$, where $\text{Post}_t = \mathbf{1}\{t \geq 2010\text{m3}\}$ equals one for bonds issued on or after March 2010. The first stage is:

$$\text{yield}_{ict} = \pi \left(\text{Exposure}_c \times \text{Post}_t\right) + \mathbf{X}'_{ict}\boldsymbol{\gamma} + \alpha_c + \lambda_{st} + u_{ict}, \tag{A.2}$$

and the second stage is:

$$y_{ct} = \beta \widehat{\text{yield}}_{ict} + \mathbf{X}'_{ict}\boldsymbol{\delta} + \alpha_c + \lambda_{st} + e_{ict}, \tag{A.3}$$

where i indexes bond issues, c the issuing county, s its state, and t the issuance month. The outcome y_{ct} is, in turn, log county personal income (in levels and per capita) and log county employment (total, private, and public); $\widehat{\text{yield}}_{ict}$ is the primary-market GO yield instrumented by $\text{Exposure}_c \times \text{Post}_t$. The controls $\mathbf{X}_{ict}$ include the bond's maturity, a coupon-type indicator, log offering amount, use of proceeds, call and put flags, and log par traded, with log county population added for the income and employment levels. α_c denotes county fixed effects and λ_{st} state-by-year fixed effects; standard errors are clustered at the county level. The sample consists of tax-exempt GO bonds with a primary-market yield issued over 2006–2012, a window around the April 2010 recalibration.

Relevance is direct. Exposed counties experienced a mechanical increase in Moody's ratings and a corresponding decline in primary-market yields: the first-stage coefficient on $\text{Exposure}_c \times \text{Post}_t$ is -0.503 and statistically significant at the 1% level, with a first-stage F statistic of approximately 11.4, above the conventional weak-instrument threshold.

The exclusion restriction requires that the recalibration affect county income and employment only through borrowing costs, and several features of the shock support this assumption. The recalibration was internal to Moody's—a relabeling of the rating scale rather than new information about any issuer. It did not alter fundamental credit quality and did not alter S&P ratings, which were not recalibrated; I use the S&P rating as a placebo. It also did not affect county fiscal policy, which the local government sets independently of the

rating agency. Any effect of the recalibration on local income or employment must therefore propagate through the yield at which the county borrows.

Table 21 reports the estimates. The instrument raises Moody's ratings (+1.388, significant at the 1% level), reduces primary-market yields (−0.503, significant at the 1% level), and leaves S&P ratings statistically unchanged (+0.223). The second-stage estimates are economically small and statistically insignificant: an instrumented increase in the GO yield moves log personal income by 0.037 (0.025 per capita) and log total, private, and public employment by 0.012, 0.015, and 0.010, respectively, none of which is statistically distinguishable from zero.

The interpretation is deliberately narrow. An exogenous, instrument-driven increase in GO yields does not, on its own, move county income or employment. The borrowing-cost channel is therefore not the route through which misalignment transmits to the real economy, even though misalignment does raise yields. Because misalignment also reduces federal transfers, and the yield channel does not transmit the effect, the transfer reduction is the remaining candidate mechanism for the real-economy effects reported in Tables 19 and 20; directly identifying its causal effect on income and employment is left to future work. The instrument is identified on a window around the April 2010 recalibration, a different sample from the close-election panel, so the test isolates the borrowing-cost elasticity rather than re-estimating the misalignment effect.

Tables and Figures

TABLE 1. Observation loss at each cleaning step — General Obligation bonds

(1) *Cleaning Step*	(2) *Trades Left*	(3) *Share Trades (%)*	(4) *Bonds Left*	(5) *Share Bonds (%)*
Full database	45,390,070	100	967,627	100
Non-bonds	44,847,913	98.806	936,422	96.775
Insured bonds	32,954,116	72.602	684,851	70.776
Dealer transactions	13,511,993	29.769	683,952	70.683
Callable bonds	4,792,829	10.559	348,751	36.042
Puttable bonds	4,779,298	10.529	348,470	36.013
State-taxable	4,451,087	9.806	305,195	31.541
Guaranteed	3,227,370	7.11	196,609	20.319
Year before maturity	2,849,958	6.279	189,312	19.565
Non-fixed coupon	1,964,619	4.328	107,941	11.155
Missing trade year	1,964,619	4.328	107,941	11.155
Missing yield	1,956,729	4.311	107,647	11.125
Post-refunding trades	1,956,729	4.311	107,647	11.125
Final sample	1,567,683	3.454	107,556	11.115

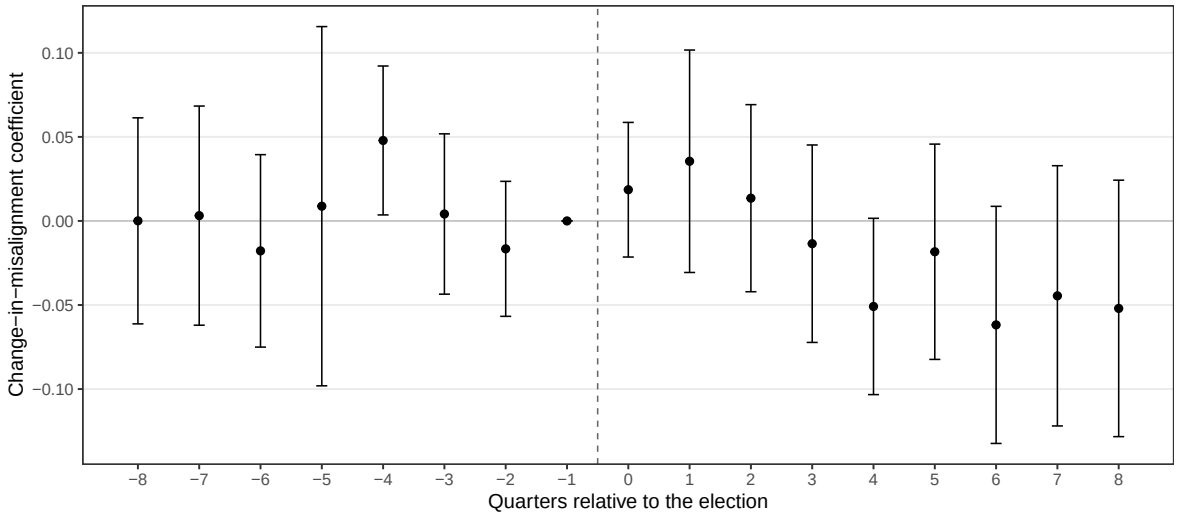
Notes. Each row applies one cleaning step to the General Obligation bond data, sequentially. Column (1) names the step. Columns (2) and (3) report the customer trades remaining after that step and their share of the full database. Columns (4) and (5) report the corresponding distinct-bond counts and shares.

TABLE 2. Close-election sample composition (election sample)

Metric	*Value* (1)
State-elections	46
Unique states	26
Election years	8
Misaligned	22
Aligned	24
Mean margin (pp)	3.346

Notes. Composition of the close-election sample: every gubernatorial race decided by ≤ 6.5 percentage points over 2004–2018, excluding New Hampshire and Vermont. Column (1) reports the number of distinct state-elections, the number of unique states, the number of even-year election cycles, the number of misaligned and aligned state-elections, and the mean winning margin in percentage points.

FIGURE 1. Yield dynamics around close elections



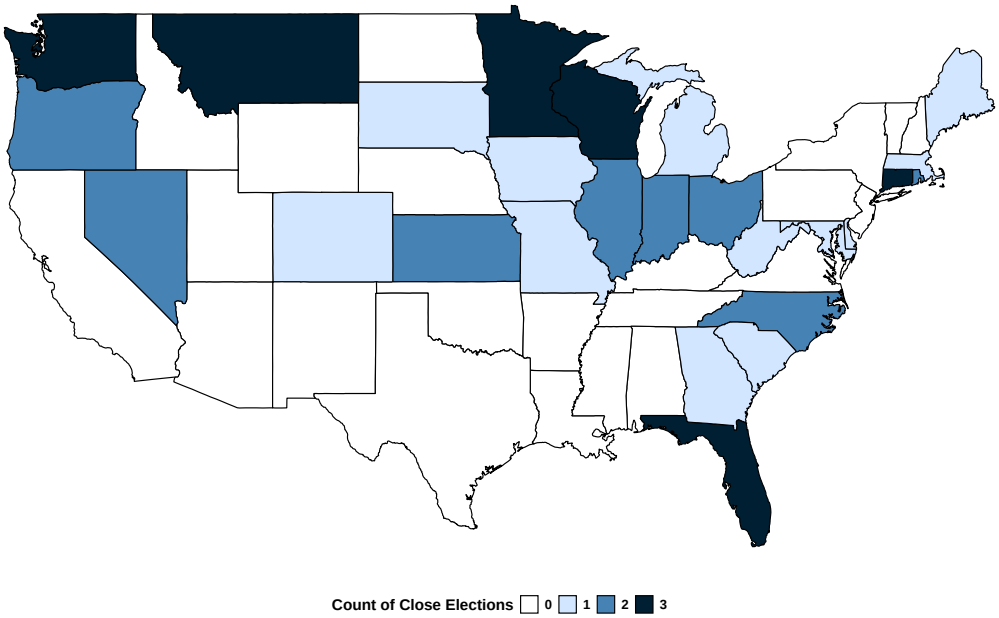
Notes. Quarterly event-study coefficients on the change in alignment produced by the close election, d = eventual − prior misalignment, from a stacked panel of every close episode's General Obligation trades running from 24 months before the November election through 25 months after (N = 250,152). Event time is binned into quarters; the quarter before the election (-1) is the reference, the dashed line marks the election, and vertical bars are 95 percent confidence intervals from standard errors clustered by state × year. The specification includes the levels of d and of prior misalignment, their full sets of event-quarter interactions (so the sitting regime's own dynamics are absorbed), event-quarter main effects, the controls of Equation 4.1, and issuer and month-year fixed effects. The pre-election interactions are jointly indistinguishable from zero at the five percent level, and the profile shows no jump at the election; the baseline post-election window replicates on this sample (0.119, s.e. 0.030).

TABLE 3. Decomposing the premium: the switch and the sitting regime

	(1) Pre window	(2) Post window
Change in alignment at the election (d)	0.257^{***}	0.126^{***}
	(0.063)	(0.032)
Prior misalignment	0.371^{***}	0.148^{**}
	(0.082)	(0.063)
Observations	113,896	125,457
Issuer FE	Yes	Yes
Month-Year FE	Yes	Yes

Notes. The misalignment premium decomposed on the stacked event panel of Figure 1: the yield differential loading on the change in alignment produced by the close election (d) and on the sitting regime's (prior) misalignment, estimated separately on the pre-election window (Column (1): the 24 months before the November election) and the post-election window (Column (2): the two calendar years after the election year). Pricing of the current status alone predicts that in the post window both components carry the same premium (current status = prior + d) and that in the pre window d carries nothing. The post-window estimates satisfy the equality (0.126 vs. 0.148); the pre-window estimates carry an excess of roughly 0.25 on both margins that disappears after the vote and never enters the estimation samples. Controls, fixed effects, sample filters, and clustering as in Equation 4.1. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

FIGURE 2. Close gubernatorial elections



Notes. Each state is shaded by the number of close gubernatorial elections it contributes to the close-election sample: races decided by 6.5 percentage points or fewer over 2004–2018, excluding New Hampshire and Vermont. White denotes states with no close race.

TABLE 4. Primary-market summary statistics, General Obligation bonds

Variable	*Mean*	*SD*	*p10*	*p25*	*Median*	*p75*	*p90*
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Panel A: complete sample, 2005–2019							
Yield (%)	1.704	0.891	0.769	1.100	1.550	2.070	2.886
Time to maturity (years)	5.098	2.925	1.103	2.746	5.032	7.291	8.994
Issuance amount ($m)	15.964	24.366	0.885	2.060	6.370	20.000	42.460
Par traded ($000)	298.607	1,409.924	10.000	25.000	50.000	105.000	400.000
Trades per state-month	182.132	286.837	4.000	14.000	61.000	235.000	526.000
Panel B: two years after close elections							
Yield (%)	1.599	0.762	0.730	1.056	1.500	2.014	2.560
Time to maturity (years)	4.968	2.924	1.002	2.538	4.942	7.113	8.879
Issuance amount ($m)	13.916	21.940	0.705	1.605	5.075	16.295	37.175
Par traded ($000)	312.235	1,425.586	10.000	25.000	50.000	110.000	440.000
Trades per state-month	155.143	191.949	3.000	12.750	62.000	251.250	468.700

Notes. Primary-market General Obligation observations. Panel A covers all cleaned primary-market trades, 2005–2019. Panel B keeps bonds issued in the two years after a close gubernatorial election. Column (1) is the mean and Column (2) the standard deviation; Columns (3)–(7) are the 10th, 25th, 50th (median), 75th, and 90th percentiles. Issuance amount is in millions and par traded in thousands of USD.

TABLE 5. Effect of misalignment on General Obligation yields

	Yield		
	Complete sample (1)	*Primary market* (2)	*Secondary market* (3)
Misaligned	0.117***	0.344***	0.117***
	(0.031)	(0.120)	(0.033)
Observations	120,248	9,206	111,042
Issuer FE	Yes	Yes	Yes
Month-year FE	Yes	Yes	Yes

Notes. Estimates of Equation 4.1. The dependent variable is the yield to maturity (percent) and the table reports the coefficient on Misaligned$_{st}$. Column (1) is the complete sample (all General Obligation trades); Column (2) is the primary market; Column (3) is the secondary market, over the two years after each close election. All columns include the margin of victory, time to maturity, bond-level controls (capital purpose, use of proceeds, amount issued, par traded), the issuer's election-year per-capita real GDP and own-source general revenue, issuer fixed effects, and month-year fixed effects. The issuer is the county or, for state-level issuers, the state. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 6. Robustness: measurement and sample

	(1) Baseline	(2) Spread outcome	(3) No trade filter	(4) Entity FE	(5) Callable included
Misaligned	0.123***	0.121***	0.146***	0.141***	0.198***
	(0.032)	(0.034)	(0.035)	(0.033)	(0.062)
Observations	122,826	120,229	152,620	122,826	347,129
Issuer FE	County	County	County	Entity	County
Month-Year FE	Yes	Yes	Yes	Yes	Yes

Notes. Each column estimates Equation 4.1 on a variant of the close-election General Obligation sample. Column (1) is the baseline on the rebuilt trade panel. Column (2) replaces the yield with the spread over a maturity-matched tax-exempt AAA benchmark constructed from AAA/Aaa-rated bonds in the same trade database (monthly means within maturity buckets; 97.9 percent of trades matched). Column (3) removes the more-than-five-trades-per-bond filter. Column (4) replaces the county fixed effect with a fixed effect for the bond's ultimate parent organization (99.1 percent of trades matched; unmatched bonds keep the county). Column (5) rebuilds the sample from the pre-cleaning trade file applying every cleaning filter except the callable exclusion and adds a callable indicator (64.6 percent of trades are callable); within this sample the callable-only subsample gives 0.252^{**} (s.e. 0.084, $N = 224{,}303$) and the misalignment $\times$ callable interaction is -0.056 ($p = 0.71$). Standard errors in parentheses, clustered by state $\times$ year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 7. The misalignment premium under alternative clustering

	(1) State × year	(2) State	(3) Episode
Misaligned	0.123***	0.123***	0.123***
	(0.032)	(0.036)	(0.030)
Clusters	70	23	39
Observations		122,826	
Issuer FE	Yes	Yes	Yes
Month-Year FE	Yes	Yes	Yes

Notes. The baseline specification of Table 6, Column (1), re-estimated with standard errors clustered at three levels: state × year, state, and state-election episode (the level at which treatment is assigned). The point estimate is identical across columns by construction. Design-based randomization inference for the same specification is reported in Appendix Figure A2. Standard errors in parentheses; stars reflect each column's own clustering. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 8. Misalignment and bond issuance

	General Obligation			*Revenue*		
	log(1+N)	log(1+Amt)	*Any*	log(1+N)	log(1+Amt)	*Any*
	(1)	(2)	(3)	(4)	(5)	(6)
Misaligned	−0.014	−0.563	−0.043	0.122	1.105	0.068
	(0.057)	(0.872)	(0.070)	(0.075)	(1.170)	(0.089)
Observations	2,046	2,046	2,046	1,362	1,362	1,362
Issuer FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes

Notes. Issuer-by-calendar-year panel: for each issuer (county or state) active around a close gubernatorial election, two rows per cohort (one for each year of the post-election window). Columns (1)–(3) use General Obligation bonds; Columns (4)–(6) use revenue bonds. The dependent variable, by column, is log(1+number of distinct issues) in Columns (1) and (4); log(1+dollar amount issued) in Columns (2) and (5); and an indicator for any issuance in the year in Columns (3) and (6). All columns include the margin of victory, issuer fixed effects, and calendar-year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 9. Issuer-type heterogeneity: sub-state versus state-level General Obligation bonds

	Yield (1)
Misaligned (sub-state)	0.125***
	(0.032)
Misaligned × State-level	−0.002
	(0.037)
Observations	122,826
Issuer FE	Yes
Month-year FE	Yes

Notes. Equation 4.1 estimated on the pooled General Obligation close panel with the misalignment indicator interacted with a state-level-issuer indicator. The "Misaligned (sub-state)" row is the effect for sub-state issuers; the "Misaligned × State-level" row is the differential for state-level issuers. The interaction uses issuer and month-year fixed effects, as in Table 5. Controls as in Table 5. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 10. County versus state alignment: decomposition of the misalignment premium

	Yield (1)
Misaligned county, aligned state	0.010
	(0.032)
Aligned county, misaligned state	0.190***
	(0.050)
Misaligned county, misaligned state	0.148**
	(0.062)
Observations	76,680
Issuer FE	Yes
Month-year FE	Yes

Notes. Equation 4.1 estimated on the sub-state General Obligation close panel, partitioned into four mutually exclusive cells. A county is "misaligned" when its own gubernatorial-race winner differs from the statewide winner; the state is "misaligned" when its governor's party differs from the president's. The omitted baseline is aligned county and aligned state. A Wald test cannot reject equality of the two misaligned-state cells (difference 0.042, $p = 0.14$). Controls and fixed effects are issuer and month-year, as in Table 5. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 11. Federal intergovernmental transfers, per-capita summary statistics.

Variable	*Mean* (1)	*SD* (2)	*p10* (3)	*p25* (4)	*Median* (5)	*p75* (6)	*p90* (7)
Panel A: State only							
Total	1,861.266	413.418	1,359.808	1,598.120	1,808.425	2,106.132	2,390.145
Pub.Welf.	1,104.478	301.068	751.291	882.197	1,103.198	1,343.426	1,530.459
Educ.	282.511	65.288	207.380	242.935	267.113	311.391	373.672
Health/Hosp.	115.001	90.778	44.999	52.288	76.870	147.764	209.122
Highways	172.094	89.041	106.811	122.887	147.219	175.597	250.222
Hous./Com.Dev.	32.354	28.538	3.862	11.149	29.496	46.600	60.818
Transit	11.233	17.089	0.000	0.192	4.792	13.383	33.539
Sewerage	6.495	6.471	0.000	2.624	4.847	7.954	13.447
Nat.Res.	21.110	17.098	7.426	9.747	14.668	24.273	44.955
Air Tr.	4.492	7.277	0.000	0.026	2.183	6.415	10.583
Emp.Sec.	20.362	11.935	10.369	13.379	17.641	23.519	35.452
Gen.Supp.	1.052	9.465	0.000	0.000	0.000	0.000	0.000
Other	86.440	56.795	42.850	50.492	71.272	106.614	134.943
Panel B: County only							
Total	87.765	192.061	0.959	11.872	42.333	111.003	203.570
Pub.Welf.	12.492	41.656	0.000	0.000	0.000	1.509	45.798
Educ.	3.117	11.726	0.000	0.000	0.000	0.000	8.567
Health/Hosp.	5.477	26.216	0.000	0.000	0.000	1.549	13.627
Highways	7.579	29.424	0.000	0.000	0.000	2.111	18.553
Hous./Com.Dev.	8.439	20.377	0.000	0.000	0.000	8.387	25.535
Transit	2.320	9.617	0.000	0.000	0.000	0.000	6.452
Sewerage	1.426	19.331	0.000	0.000	0.000	0.000	0.000
Nat.Res.	1.247	18.452	0.000	0.000	0.000	0.000	0.284
Air Tr.	6.705	41.593	0.000	0.000	0.000	0.000	10.708
Emp.Sec.	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Gen.Supp.	8.486	34.941	0.000	0.000	0.000	1.101	13.975
Other	29.154	153.905	0.000	0.794	8.959	28.027	62.222

Notes. Federal intergovernmental transfer observations for the close-election mechanism panel used in Table 15, to which I refer for the sample definition. Panel A keeps state observations only; Panel B keeps county-aggregated observations only. Column (1) is the mean and Column (2) the standard deviation; Columns (3)–(7) are the 10th, 25th, 50th (median), 75th, and 90th percentiles. The top row reports total federal transfers; the remaining rows report the twelve Census functional categories from Pierson et al. (2015) and a residual "other" category. All values are in real 2017 dollars per capita (federal transfers divided by population).

TABLE 12. Mechanisms: revenue bonds, federal transfers, and taxes

Panel A. Revenue-bond yield			
	Complete sample	*Primary market*	*Secondary market*
	(1)	(2)	(3)
Misaligned	0.034	0.051	0.048
	(0.039)	(0.052)	(0.036)
Observations	170,561	24,143	146,418
Panel B. Local fiscal outcomes			
	Fed. transfers	*Transfers/Rev.*	*Total taxes*
	(1)	(2)	(3)
Misaligned	-0.290^{**}	-0.242^{**}	0.011
	(0.110)	(0.109)	(0.039)
Observations	2,889	2,889	2,889

Notes. Panel A estimates Equation 4.1 on revenue bonds. The dependent variable is the yield to maturity (percent). Column (1) is the complete sample; Column (2) the primary market; Column (3) the secondary market. Panel B estimates Equation 6.1 on the pooled state and county-aggregated balance-sheet panel. The dependent variable is log per-capita federal intergovernmental transfers in Column (1), the log ratio of federal transfers to total revenue in Column (2), and log per-capita tax revenue in Column (3). Panel A uses issuer and month-year fixed effects; Panel B uses jurisdiction and government-type-by-year fixed effects. Both panels pool close races over the two post-election years. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 13. Misalignment and federal transfers: estimates by level of government

	(1) Pooled	(2) State only	(3) County only
Panel A: PPML (semi-elasticity)			
Misaligned	-0.073^{*}	0.068^{***}	-0.222^{***}
	(0.040)	(0.023)	(0.073)
Observations	2,797	81	2,716
Panel B: per-capita dollars (OLS, thousands)			
Misaligned	-0.025^{***}	0.035	-0.029^{***}
	(0.006)	(0.063)	(0.005)
Observations	2,889	81	2,808
Jurisdiction FE	Yes	Yes	Yes
Type × year FE	Yes	Year	Year

Notes. The effect of misalignment on per-capita federal intergovernmental transfers (thousands of dollars) in the fiscal close-election panel: state governments and county aggregates (every sub-state government summed within county) observed in the two fiscal years after a close race. Panel A reports pseudo-Poisson (PPML) estimates, which are semi-elasticities and accommodate the zeros that the $\log(1+x)$ outcome treats asymmetrically; Panel B reports OLS estimates in per-capita dollars. Controls: margin of victory, governor party, and election-year log per-capita federal transfers, total expenditure, and GDP. Column (1) pools both levels with government-type × year fixed effects; Columns (2) and (3) estimate each level separately with year fixed effects; all columns include jurisdiction fixed effects. The Poisson sample drops jurisdiction-years with negative recorded transfers. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 14. Heterogeneity by federal-transfer exposure (bond-sample median split)

	Yield	
	Share of revenue	*Per capita*
	(1)	(2)
Misaligned (below median)	0.165***	0.156***
	(0.060)	(0.058)
Misaligned × Above-median	0.114***	0.122***
	(0.032)	(0.037)
Above-median	−0.041	−0.058
	(0.030)	(0.042)
Observations	74,102	74,102
Issuer FE	Yes	Yes
Month-year FE	Yes	Yes

Notes. Estimates of Equation 6.2 with exposure cutoffs computed from the bond-sample counties within each state-election (median split). Column (1) sorts counties by federal transfers as a share of revenue; Column (2) sorts by federal transfers per capita. "Misaligned (below median)" is the misalignment effect for low-exposure counties; "Misaligned × Above-median" the additional effect for high-exposure counties; "Above-median" the level difference. Sub-state jurisdictions only. The specification includes the margin of victory, time to maturity, bond-level controls, issuer fixed effects, and month-year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 15. Effect of misalignment on federal transfers, by Census functional category

	Pub. Welf. (1)	*Educ.* (2)	*Health/Hosp.* (3)	*Highways* (4)	*Hous./Com.* (5)	*Transit* (6)	*Sewerage* (7)	*Nat. Res.* (8)	*Air Tr.* (9)	*Emp. Sec.* (10)	*Gen. Rev.* (11)	*Gen. Supp.* (12)
Misaligned	−0.235	0.041	−0.208	−0.156	0.070	−0.034	0.119	−0.149	−0.029	0.008	0.011*	−0.602***
	(0.237)	(0.031)	(0.200)	(0.115)	(0.164)	(0.073)	(0.119)	(0.118)	(0.129)	(0.006)	(0.006)	(0.143)
Observations	2,889	2,889	2,889	2,889	2,889	2,889	2,889	2,889	2,889	2,889	2,889	2,889
Jurisdiction	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Type×year FE	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Notes. Each column estimates Equation 6.1 with the dependent variable equal to log per-capita federal transfers for one Census functional category from Pierson et al. (2015): (1) public welfare, (2) education, (3) health and hospitals, (4) highways, (5) housing and community development, (6) transit subsidies, (7) sewerage, (8) natural resources, (9) air transport, (10) employment security, (11) general revenue sharing, and (12) general support. All columns include the margin of victory, jurisdiction fixed effects, and government-type-by-year fixed effects, pool close races over the two post-election years. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 16. Mapping of federal intergovernmental transfer categories to bond use-of-proceeds purposes

Federal transfer category (Census functional classification)	*Bond use-of-proceeds purposes (Mergent classification)*
General support	Government/public buildings (GVPB); courts (CFCT); correctional facilities/jails (CORR); fire station/equipment (FISE); police station/equipment (POLE); civic/convention centers (CIVC); libraries/museums (LIMU); general-purpose public improvement (GPPI); pension funding/retirement (PFR); veterans (VETS); other public service (OPUB); public power (ELEC); gas (GAS); telephone (TELE); other utilities (OUTI); multiple public utilities (CUTI)
Education	Primary/secondary education (PSED); higher education (HIED); other education (OTED); student loans (STLN)
Health and hospitals	Hospitals (HOSP); hospital equipment loans (HOEQ); nursing homes (NURS); other healthcare (OHCA); retirement centers (RETR)
Highways	Toll road and highway (TOLL); bridges (BRDG); tunnels (TUNN)
Air transportation	Airports (AIR); airlines (AIL)
Mass transit	Mass/rapid transit (MASS); seaports/marine terminals (SEAP); other transportation (OTRN)
Sewerage	Sanitation (SANI)
Natural resources	Water and sewer (WTR); flood control/storm drain (FLOD); pollution control (POLL); irrigation (IRRG); solid waste (WAST); agriculture (AGRI); parks/zoos/beaches (PARK); other recreation (OREC); stadiums/sports complex (SPOR); theaters (THTR)
Housing and community development	Multi-family housing (MFHG); single-family housing (SFHG); new public housing (NPHG); CMO-backed housing (CMOH); single/multi-family housing (SMHG); other housing (OTHS); redevelopment/land clearance (REDV); land preservation (PRES); economic development (EDEV); industrial development (IDEV); other industrial development (ONDV); malls/shopping centers (MALL); office buildings (OFFB); parking facilities (PKG)
Public welfare (Medicaid, TANF)	—
Employment security	—
General revenue sharing	—

Notes. For each federal intergovernmental transfer category in the Census functional classification used in Table 15, the right column lists the specific bond use-of-proceeds purposes (with their four-letter Mergent codes) that are assigned to that category when municipal bonds are grouped by functional area. Any bond whose use-of-proceeds code is not listed above is classified as "other." The three categories below the rule—public welfare (Medicaid and TANF), employment security, and general revenue sharing—fund current transfers or operating programs rather than capital projects and therefore have no bond counterpart (em-dash).

TABLE 17. The direction of misalignment: yields, transfers, and disaster funding

	Misaligned, Republican governor	Misaligned, Democratic governor
Panel A: General obligation yield (percent)		
Misaligned	0.362**	−0.010
	(0.139)	(0.071)
Difference (R − D)	0.372* (0.200)	
Observations	122,826	
Panel B: county federal transfers (PPML)		
Total	−0.001	−0.443
	(0.204)	(0.306)
Highways	−0.778**	−0.984*
	(0.373)	(0.560)
Other (residual)	0.238	−0.887**
	(0.304)	(0.399)
Panel C: USAspending county grants (PPML)		
FEMA grants	0.871**	−1.225**
	(0.428)	(0.537)
Discretionary grants	0.058	−0.362
	(0.705)	(0.443)

Notes. Misalignment split by direction. "Misaligned, Republican governor" indicates a Republican governor serving under a Democratic president; "Misaligned, Democratic governor" is the reverse. Panel A estimates Equation 4.1 with the two direction indicators in place of the pooled indicator; the difference row reports the coefficient on misaligned × Republican governor from the re-parameterized regression. Panel B re-estimates the county transfer PPML of Table 13, Column (3), by direction (the governor-party control is dropped, as it is collinear with the split given year fixed effects). Panel C uses county-year federal grant obligations from USAspending (fiscal years 2008–2019): FEMA grants and discretionary grants (project grants plus cooperative agreements), per capita, estimated by PPML with county and year fixed effects and log per-capita GDP as a control. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 18. State policy uncertainty by direction of misalignment

	(1) Pooled	(2) By direction
Panel A: log state EPU (state-month panel)		
Misaligned	0.282***	
	(0.090)	
Misaligned, Republican governor		0.284*
		(0.153)
Misaligned, Democratic governor		0.280
		(0.192)
Difference (R − D)		0.004 (0.293)
Observations	824	824
Panel B: GO yield, interaction with state EPU (z)		
Misaligned	0.122***	
	(0.031)	
Misaligned × EPU	0.014	
	(0.010)	
Misaligned, Rep. governor		0.336**
		(0.146)
Misaligned, Dem. governor		0.018
		(0.075)
Misaligned, Rep. gov. × EPU		0.020*
		(0.011)
Misaligned, Dem. gov. × EPU		−0.001
		(0.010)
State EPU (z)	−0.010	−0.007
	(0.010)	(0.010)
Observations	122,817	122,817

Notes. The direction split of the state policy-uncertainty first stage and of its pricing. Panel A: log state-source economic policy uncertainty (Baker et al., 2022), monthly by state, over close post-window state-months, with state and month-year fixed effects and the margin of victory as a control; the national component is absorbed by the month-year fixed effects, and the difference row reports the coefficient on misaligned × Republican governor from the re-parameterized regression. Panel B: Equation 4.1 with state uncertainty standardized on the estimation sample and interacted with misalignment, pooled and by direction; the difference between the two interactions is 0.020 ($p = 0.012$). Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 19. Misalignment and county employment

	log(Total emp.) (1)	*log(Private emp.)* (2)	*log(Public emp.)* (3)
Misaligned	-0.015^{**}	-0.022^{***}	0.001
	(0.007)	(0.008)	(0.004)
Observations	4,787	4,787	4,787
County FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes

Notes. County-year panel restricted to county-years in the two-year post-close-election window. The dependent variable is BEA CAEMP25N employment in logs: total in Column (1), private-sector in Column (2), and public-sector in Column (3). The specification includes the margin of victory, election-year baseline log population, and election-year baseline log per-capita GDP, with county and calendar-year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 20. Misalignment and county personal income

	log(Total income) (1)	*log(Per-capita income)* (2)
Misaligned	-0.028^{***}	-0.022^{***}
	(0.005)	(0.005)
Observations	4,803	4,803
County FE	Yes	Yes
Year FE	Yes	Yes

Notes. County-year panel restricted to county-years in the two-year post-close-election window. The dependent variable is BEA CAINC personal income in logs: total in Column (1) and per capita in Column (2). The specification includes the margin of victory, election-year baseline log population, and election-year baseline log per-capita GDP, with county and calendar-year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE 21. Instrumented General Obligation yields and the real economy (2SLS)

Panel A. First stage — dependent variable: Yield					
Exposure × Post	-0.503^{***} (0.149)				
First-stage F	≈ 11.4				
Panel B. Second stage — real outcome on instrumented Yield					
	log income (1)	*log PC income* (2)	*log Total emp.* (3)	*log Priv. emp.* (4)	*log Pub. emp.* (5)
$\widehat{\text{Yield}}$	0.037	0.025	0.012	0.015	0.010
	(0.031)	(0.025)	(0.023)	(0.023)	(0.022)
Observations	8,656	8,656	8,656	8,656	8,656
County FE	Yes	Yes	Yes	Yes	Yes
State×year FE	Yes	Yes	Yes	Yes	Yes

Notes. Two-stage least squares estimates of Equations A.2 and A.3. Panel A reports the first stage; the dependent variable is the primary-market General Obligation yield, and the instrument is $\text{Exposure}_c \times \text{Post}_t$, with Exposure_c defined in Equation A.1. Panel B reports the second stage. The dependent variable is log county personal income (total in Column (1), per capita in Column (2)) and log county employment (total in Column (3), private in Column (4), public in Column (5)), regressed on the instrumented yield. The same instrument is used in companion regressions to estimate its effect on Moody's ratings (+1.388, significant at the 1% level) and on S&P ratings (+0.223, insignificant). The sample is tax-exempt General Obligation bonds with a primary-market yield issued over 2006–2012, a window around the April 2010 recalibration. All columns include county and state-by-year fixed effects and the bond-level controls described in Appendix A. Standard errors in parentheses, clustered at the county level. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

Appendix

TABLE A1. Observation loss at each cleaning step — revenue bonds

(1) *Cleaning Step*	(2) *Trades Left*	(3) *Share Trades (%)*	(4) *Bonds Left*	(5) *Share Bonds (%)*
Full database	78,791,902	100	682,174	100
Non-bonds	74,544,350	94.609	613,940	89.998
Insured bonds	56,082,078	71.177	484,875	71.078
Dealer transactions	23,580,887	29.928	483,904	70.936
Callable bonds	5,795,529	7.355	229,339	33.619
Puttable bonds	5,683,986	7.214	227,987	33.421
State-taxable	5,532,881	7.022	219,173	32.129
Guaranteed	5,157,635	6.546	190,292	27.895
Year before maturity	4,563,645	5.792	183,747	26.936
Non-fixed coupon	3,232,749	4.103	112,523	16.495
Missing trade year	3,232,749	4.103	112,523	16.495
Missing yield	3,220,668	4.088	112,357	16.47
Post-refunding trades	3,220,668	4.088	112,357	16.47
Final sample	2,539,800	3.223	112,193	16.446

Notes. Revenue-bond counterpart to Table 1, with the identical cleaning sequence and column definitions.

TABLE A2. Primary-market summary statistics, revenue bonds

Variable	*Mean* (1)	*SD* (2)	*p10* (3)	*p25* (4)	*Median* (5)	*p75* (6)	*p90* (7)
Panel A: complete sample, 2005–2019							
Yield (%)	2.051	1.273	0.870	1.240	1.750	2.499	3.813
Time to maturity (years)	5.522	3.475	1.136	2.886	5.363	7.751	9.498
Issuance amount ($m)	20.446	83.868	1.000	2.160	5.625	15.930	37.680
Par traded ($000)	246.447	1,142.637	10.000	20.000	40.000	100.000	425.000
Trades per state-month	246.940	362.941	9.000	33.000	110.000	311.000	645.400
Panel B: two years after close elections							
Yield (%)	1.909	1.102	0.839	1.210	1.730	2.350	3.180
Time to maturity (years)	5.133	3.030	1.084	2.705	5.128	7.305	9.032
Issuance amount ($m)	11.289	20.704	0.880	1.805	4.220	11.435	28.000
Par traded ($000)	221.611	1,110.067	10.000	20.000	40.000	100.000	400.000
Trades per state-month	231.450	243.418	9.000	36.000	124.500	373.750	614.600

Notes. Revenue-bond counterpart to Table 4. Panel A covers the complete 2005–2019 revenue-bond sample; Panel B keeps bonds issued in the two years after a close election. Column (1) is the mean and Column (2) the standard deviation; Columns (3)–(7) are the 10th, 25th, 50th (median), 75th, and 90th percentiles. Issuance amount in millions and par traded in thousands of USD.

TABLE A3. Federal intergovernmental transfers as a percentage of revenue, summary statistics.

Variable	*Mean* (1)	*SD* (2)	*p10* (3)	*p25* (4)	*Median* (5)	*p75* (6)	*p90* (7)
Panel A: State only							
Total	26.934	5.832	20.547	23.211	26.909	29.803	32.647
Pub.Welf.	15.975	4.274	10.631	13.242	16.345	18.200	21.839
Educ.	4.156	1.184	2.908	3.426	4.091	4.747	5.711
Health/Hosp.	1.687	1.308	0.669	0.741	1.102	2.181	3.823
Highways	2.480	1.176	1.477	1.820	2.160	2.691	3.445
Hous./Com.Dev.	0.464	0.371	0.055	0.143	0.424	0.656	0.862
Transit	0.144	0.201	0.000	0.004	0.066	0.195	0.384
Sewerage	0.090	0.081	0.000	0.050	0.069	0.112	0.205
Nat.Res.	0.297	0.224	0.099	0.152	0.222	0.354	0.625
Air Tr.	0.062	0.102	0.000	0.000	0.034	0.095	0.146
Emp.Sec.	0.292	0.164	0.153	0.211	0.252	0.319	0.438
Gen.Rev.Sh.	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Gen.Supp.	0.019	0.169	0.000	0.000	0.000	0.000	0.000
Other	1.217	0.725	0.641	0.779	1.057	1.442	1.790
Panel B: County only							
Total	3.608	4.839	0.053	0.625	2.163	4.793	8.565
Pub.Welf.	0.444	1.509	0.000	0.000	0.000	0.087	1.557
Educ.	0.093	0.354	0.000	0.000	0.000	0.000	0.251
Health/Hosp.	0.252	1.076	0.000	0.000	0.000	0.069	0.605
Highways	0.349	1.324	0.000	0.000	0.000	0.091	0.835
Hous./Com.Dev.	0.347	0.859	0.000	0.000	0.000	0.380	1.054
Transit	0.091	0.326	0.000	0.000	0.000	0.000	0.279
Sewerage	0.060	0.647	0.000	0.000	0.000	0.000	0.000
Nat.Res.	0.046	0.442	0.000	0.000	0.000	0.000	0.012
Air Tr.	0.248	1.104	0.000	0.000	0.000	0.000	0.493
Emp.Sec.	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Gen.Rev.Sh.	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Gen.Supp.	0.419	1.499	0.000	0.000	0.000	0.051	0.747
Other	1.199	2.601	0.000	0.037	0.440	1.271	2.940

Notes. Federal intergovernmental transfer observations for the close-election mechanism panel used in Table 15, to which I refer for the sample definition. Panel A keeps state observations only; Panel B keeps county-aggregated observations only. Column (1) is the mean and Column (2) the standard deviation; Columns (3)–(7) are the 10th, 25th, 50th (median), 75th, and 90th percentiles. The top row reports total federal transfers; the remaining rows report the twelve Census functional categories from Pierson et al. (2015) and a residual "other" category. All values are expressed as a percentage of total government revenue.

TABLE A4. Control variables in the main specification

Control	*Description*
Capital purpose code	Financial function of the bond (new money, refunding, remarketing).
Use of proceeds	Substantive area funded (education, infrastructure, utilities, ...).
Offering amount	Total dollar size of the bond offering.
Par value traded	Face value of the individual trade.
Margin of victory	Gubernatorial winning margin (pp); close sample is ≤ 6.5 pp.
Time to maturity	Months until the bond matures.
Per-capita real GDP	County (or state, for state issuers) per-capita real GDP at the election year.
Per-capita own-source revenue	County (or state, for state issuers) per-capita own-source general revenue at the election year.

Notes. Definitions of the bond- and state-level controls entering $\mathbf{X_b}\boldsymbol{\gamma}$ in Equation 4.1. The first column names the control; the second defines it.

TABLE A5. Misalignment effect on General Obligation yields by use of proceeds (pooled interaction)

	Yield (1)
Misaligned (gen. support, ref.)	0.191***
	(0.054)
Misaligned × Education	−0.033
	(0.036)
Misaligned × Health/Hosp.	−0.393***
	(0.045)
Misaligned × Highways	0.103
	(0.097)
Misaligned × Air transport	−0.023
	(0.071)
Misaligned × Transit	−0.148**
	(0.065)
Misaligned × Sewerage	−2.546***
	(0.123)
Misaligned × Natural res.	0.020
	(0.054)
Misaligned × Housing/Com.	−0.284**
	(0.142)
Observations	120,248
Issuer FE	Yes
Month-year FE	Yes

Notes. Pooled regression interacting Misaligned_{st} with the bond's use-of-proceeds category, with general-support bonds as the omitted reference (the level of each category is also included). The dependent variable is the General Obligation yield to maturity (percent). "Misaligned (gen. support, ref.)" is the misalignment effect for general-support bonds, and each "Misaligned × category" row is the differential effect for that use of proceeds relative to general support. Controls and fixed effects as in Equation 4.1 with issuer fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A6. Liquidity placebo

	$\log(1+Trades)$ *(no filter)* (1)	$\log(1+Trades)$ *(> 5)* (2)	$\log(1+Amihud_y)$ (3)	*Yield disp. (bp)* (4)
Misaligned	0.052	0.186	0.030	-1.202^{*}
	(0.061)	(0.145)	(0.175)	(0.644)
Observations	24,576	9,538	8,937	23,545
Issuer FE	Yes	Yes	Yes	Yes
Month-year FE	Yes	Yes	Yes	Yes

Notes. Liquidity placebo on the General Obligation close sample. The dependent variable is log trades per bond without the minimum-trade filter in Column (1); log trades per bond with the > 5-trade filter in Column (2); a yield-based Amihud illiquidity measure in Column (3); and within-bond yield dispersion in basis points in Column (4). Each column includes the margin of victory and the same controls as Equation 4.1, with issuer and month-year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A7. USAspending federal spending (county-year)

	Total (1)	*Contracts* (2)	*Grants* (3)	*Direct pay* (4)	*Loans* (5)	*Other* (6)
Misaligned	0.145	−0.037	−0.264***	0.022	−0.722***	0.404*
	(0.089)	(0.069)	(0.087)	(0.017)	(0.161)	(0.221)
Observations	2,908	2,860	2,846	2,908	2,566	2,906
Issuer FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes

Notes. County-year panel of federal spending by place of performance from USAspending, in logs per capita. The dependent variable is total federal spending in Column (1) and, by award type, contracts in Column (2), grants in Column (3), direct payments in Column (4), loans in Column (5), and other assistance in Column (6). All columns include the margin of victory and log per-capita GDP, with county (issuer) and year fixed effects. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A8. Misalignment and the expenditure decomposition

	Total exp. (1)	*IG exp.* (2)	*Direct exp.* (3)	*Current exp.* (4)	*Current oper.* (5)	*Interest* (6)	*Salaries* (7)	*General exp.* (8)
Misaligned	-0.070^{**}	0.099	-0.077^{**}	-0.064^{**}	-0.087^{**}	-0.191^{*}	0.234	-0.063^{**}
	(0.029)	(0.390)	(0.029)	(0.028)	(0.034)	(0.106)	(0.505)	(0.025)
Obs.	2,889 per column; jurisdiction and government-type×year fixed effects							

Notes. Equation 6.1 estimated on the pooled balance-sheet panel with log per-capita expenditure components as outcomes. The dependent variable is, by column: (1) total expenditure, (2) intergovernmental expenditure, (3) direct expenditure, (4) current expenditure, (5) current operations, (6) interest on debt, (7) salaries and wages, and (8) general expenditure. All columns include the margin of victory, jurisdiction fixed effects, and government-type-by-year fixed effects, and pool close races over the two post-election years. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A9. Revenue-bond replications

	Yield (1)
Panel A: use of proceeds (pooled interaction, gen. support reference)	
Misaligned (gen. support, ref.)	−0.030 (0.095)
Misaligned × Education	−0.012 (0.125)
Misaligned × Health/Hosp.	0.225 (0.167)
Misaligned × Highways	0.094 (0.107)
Misaligned × Air transport	−0.015 (0.104)
Misaligned × Transit	0.118 (0.121)
Misaligned × Sewerage	0.310** (0.121)
Misaligned × Natural res.	0.005 (0.068)
Misaligned × Housing/Com.	0.015 (0.108)
Panel B: federal-transfer exposure (median split)	
Misaligned (below median)	0.042 (0.073)
Misaligned × Above-median	0.058 (0.064)
Above-median	−0.088 (0.080)
Issuer FE	Yes
Month-year FE	Yes

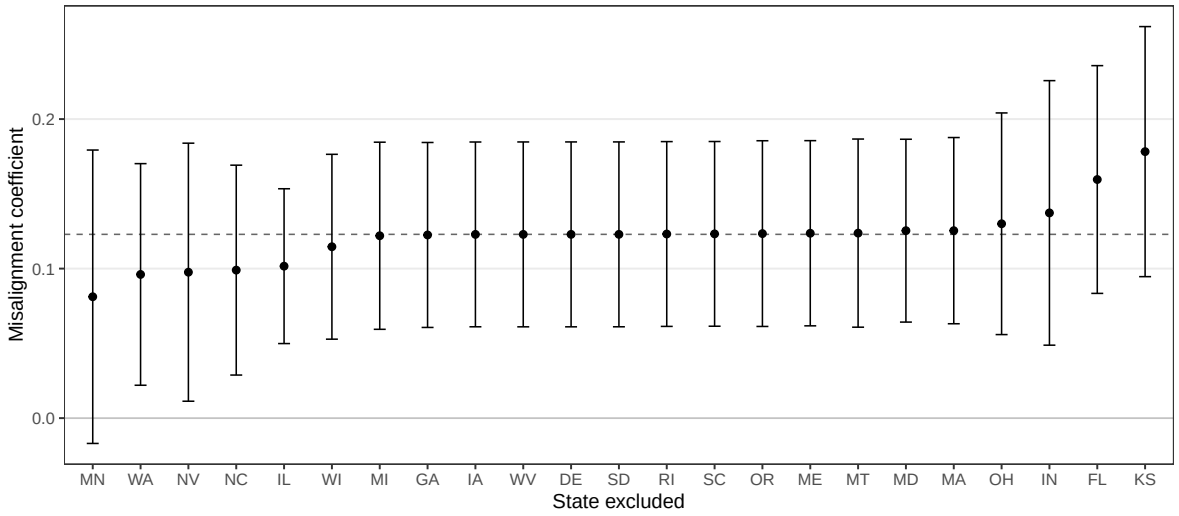
Notes. Revenue-bond counterparts to Table A5 (Panel A, the use-of-proceeds pooled interaction with general support as the omitted reference) and to Table 14 (Panel B, the federal-transfer-exposure median split, with "Above-median" flagging counties above the within-state-election exposure median). The dependent variable is the revenue-bond yield to maturity (percent). Both panels use controls and fixed effects as in Equation 4.1 (issuer and month-year fixed effects). Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A10. Placebo: pre-election yields do not predict future misalignment

	(1)	(2)	(3)
Yield (pre-election)	-0.078^{*}	0.027^{*}	0.000
	(0.044)	(0.016)	(0.002)
Observations	107,243	107,243	107,243
Issuer FE	No	No	Yes
Month-year FE	No	Yes	Yes

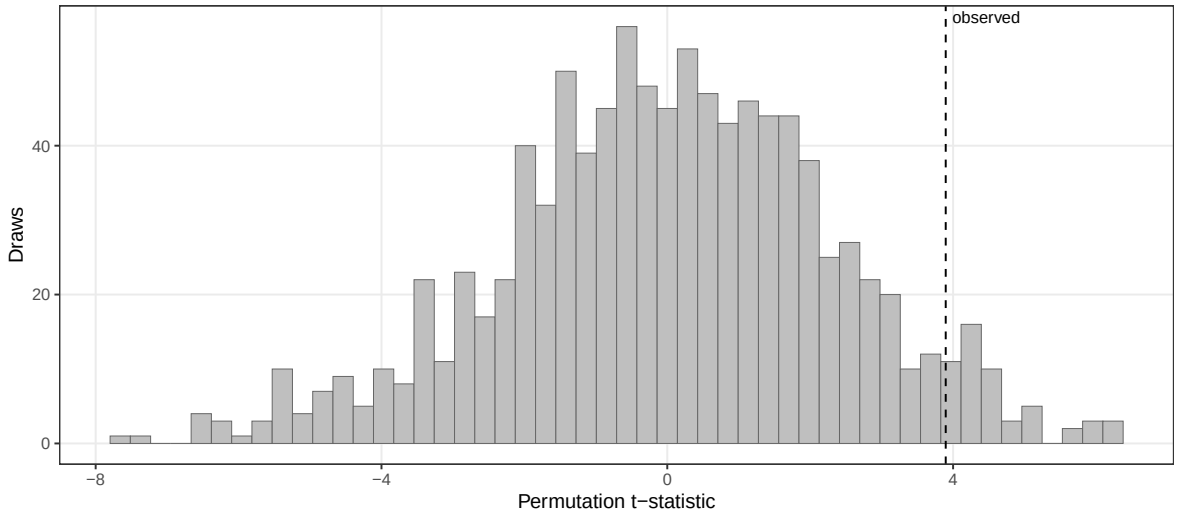
Notes. OLS regressing an indicator for future misalignment on the pre-election bond yield, estimated on General Obligation trades in the months before the close gubernatorial race. The fixed-effect structure varies across columns: Column (1) includes no fixed effects; Column (2) adds month-year fixed effects; Column (3) adds issuer and month-year fixed effects (the structure used in the main analysis). Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

FIGURE A1. Leave-one-state-out estimates of the misalignment premium



Notes. Each point re-estimates the baseline specification excluding every trade from one state; vertical bars are 95 percent confidence intervals from standard errors clustered by state × year, and the dashed line marks the full-sample estimate. The estimates range from 0.081 (dropping Minnesota, the only exclusion at which the coefficient loses significance at the ten percent level) to 0.178 (dropping Kansas); dropping Illinois leaves 0.102 ($p < 0.01$).

FIGURE A2. Design-based inference: the permutation distribution



Notes. The permutation distribution of the studentized statistic for the baseline specification under design-based randomization inference (Young, 2019). The misalignment label is permuted across the 39 state-election episodes within election-year strata, holding each year's misaligned count fixed; for each of 1,000 draws the full specification is re-estimated and the draw's state × year clustered t-statistic is plotted. The dashed line marks the observed statistic ($t = 3.90$). The two-sided randomization-t p-value is 0.109 (coefficient-based: 0.176); drawing each episode's winner instead as an independent fair coin gives 0.124 (0.167). The central 95 percent range of the permuted coefficient is $[-0.198, 0.173]$ against an observed 0.123.

TABLE A11. Misalignment and county federal transfers by category (PPML)

	Misaligned	SE	Obs.
Public welf.	0.48^{*}	0.29	1,263
Education	–		–
Health/hosp.	0.09	0.12	1,294
Highways	-0.88^{***}	0.31	1,615
Housing/comm.	0.29^{**}	0.12	1,712
Transit	0.17	0.16	679
Sewerage	0.80	1.00	512
Natural res.	0.23	0.38	756
Air transp.	−0.10	0.27	1,082
Emp. sec.	–		–
Gen. rev. shar.	–		–
Gen. support	−0.79	0.56	1,474
Other	-0.32^{***}	0.12	2,576

Notes. Each row reports a separate PPML regression of per-capita county-aggregate federal transfers in the named Census functional category (thousands of dollars) on misalignment, in the specification of Table 13, Column (3). "Other" is total federal transfers minus the twelve listed categories. Dashes mark categories that do not admit Poisson estimation at the county level (all-zero or degenerate within fixed effects). Standard errors clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A12. Pass-through of the transfer margin through state budgets

	(1) State IG expenditure to local governments	(2) County revenue from state government
Misaligned (log)	−0.012	−0.019
	(0.040)	(0.016)
Misaligned (PPML)	−0.013	−0.082
	(0.072)	(0.063)
Observations	81	2,808
Jurisdiction FE	Yes	Yes
Year FE	Yes	Yes

Notes. Column (1): per-capita state intergovernmental expenditure to local governments, on the state-level panel. Column (2): per-capita county-aggregate revenue received from the state government, on the county-aggregate panel. Each outcome is estimated in logs (OLS on $\log(1+x)$) and by PPML, with the controls and fixed effects of Table 13, Columns (2)–(3). Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A13. The revenue-bond placebo by elasticity of the pledged revenue stream

	(1) Complete	(2) Activity-sensitive	(3) Essential service	(4) Residual
Misaligned	0.021	0.069	0.025	0.056
	(0.037)	(0.051)	(0.040)	(0.055)
Observations	190,219	34,800	73,612	81,807
Issuer FE	Yes	Yes	Yes	Yes
Month-Year FE	Yes	Yes	Yes	Yes

Notes. The revenue-bond placebo split by the elasticity of the pledged revenue stream, on the close-election revenue-bond panel (general-purpose improvement bonds dropped). Column (1): the complete sample. Column (2): activity-sensitive pledges (toll roads, bridges, tunnels, airports, seaports, mass transit, parking, civic and convention centers, sports facilities, redevelopment, economic development). Column (3): essential-service pledges (water, sewer, electric power, gas, utilities, pollution control, solid waste). Column (4): the residual group (higher education, hospitals, housing, and similar institutional pledges). Specification, controls, and fixed effects as in Equation 4.1; the misalignment $\times$ activity-sensitive interaction in the pooled Columns (2)+(3) sample is 0.068 ($p = 0.22$). Standard errors in parentheses, clustered by state $\times$ year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A14. Misalignment and divided state government

	(1)	(2)	(3)
Panel A: General obligation yield (percent)			
Misaligned	0.171***	0.136**	−0.086
	(0.062)	(0.052)	(0.252)
Divided government		0.181***	0.166***
		(0.063)	(0.050)
Misaligned × Divided			0.418
			(0.517)
Observations		107,371	
Panel B: county federal transfers (PPML)			
Misaligned	−0.193**	−0.185**	
	(0.092)	(0.091)	
Divided government		−0.422***	
		(0.121)	
Observations		2,478	

Notes. Misalignment against divided state government, on the subsample with legislative-control data (close-election windows through 2018; Nebraska's nonpartisan legislature excluded). "Divided" equals one when at least one legislative chamber is controlled by the party opposite the governor, including split chambers. Panel A: Equation 4.1 on this subsample without the control, adding the divided indicator, and adding the interaction. Panel B: the county transfer PPML of Table 13, Column (3), on the same subsample. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A15. Divided federal government and the governor's alignment with Congress

	(1) Divided-gov. interaction	(2) Configuration cells	(3) Horse race
Panel A: General obligation yield (percent)			
Misaligned with president	0.030		−0.021
	(0.085)		(0.079)
Misaligned × divided federal gov.	0.108		
	(0.120)		
Misaligned, Rep. gov. (divided only)		0.422**	
		(0.170)	
Misaligned, Dem. gov., unified		−0.213	
		(0.165)	
Misaligned, Dem. gov., divided		0.003	
		(0.070)	
Misaligned with House majority			−0.079
			(0.057)
Misaligned with Senate majority			0.075
			(0.054)
Observations		122,826	
Panel B: county federal transfers (PPML)			
	Total	Highways	
Misaligned with president	−0.297**	−1.252***	
	(0.121)	(0.376)	
Misaligned with House majority	−0.041	−1.127***	
	(0.127)	(0.420)	
Misaligned with Senate majority	0.084	−0.065	
	(0.079)	(0.195)	
Observations	2,716	1,615	
Issuer/jurisdiction FE	Yes	Yes	Yes
Month-year/year FE	Yes	Yes	Yes

Notes. Federal chamber control is assigned by calendar year (House: Republican 2005–2006 and 2011–2018, Democratic 2007–2010 and 2019; Senate: Republican 2005–2006 and 2015–2019, Democratic 2007–2014); divided federal government means the president faces at least one opposing chamber. Panel A estimates Equation 4.1. Column (1) interacts misalignment with divided federal government (the divided main effect is absorbed by month-year fixed effects). Column (2) splits misaligned trades into mutually exclusive configuration cells: misaligned Republican governors exist only under divided federal government (13 episodes); misaligned Democratic governors appear under unified (five episodes) and divided (three episodes; 2019) federal government. Column (3) races the governor's alignment with the president, House majority, and Senate majority; within a month each chamber margin equals the president margin or its exact complement, so the race is identified off the six federal regime configurations of 2005–2019. Panel B estimates the county transfer PPML with the three alignment margins (the governor-party control is dropped, as within a year every margin is a function of the governor's party alone); the highways column restricts to the PPML-estimable subsample. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.

TABLE A16. The premium over the term of office

	(1) Years 1–2 (baseline)	(2) Full term	(3) Excl. upcoming close races
Panel A: General obligation yield (percent)			
Misaligned	0.128***	0.109**	0.069
	(0.034)	(0.045)	(0.051)
Misaligned × years 3–4		−0.056*	0.006
		(0.033)	(0.063)
Observations	114,194	133,405	113,723
Panel B: county federal transfers (PPML)			
Misaligned		−0.211***	
		(0.063)	
Misaligned × years 3–4		0.047	
		(0.061)	
Observations		3,388	
Issuer/jurisdiction FE	Yes	Yes	Yes
Month-year/year FE	Yes	Yes	Yes

Notes. The misalignment premium across the elected governor's term. The sample extends each close episode's window to the full term (years +1 through +4, capped at the state's next gubernatorial election and at 2019), with misalignment recomputed by calendar year. Column (1) is the years 1–2 subsample, the main design rebuilt within this panel. Columns (2) and (3) restrict to constant-presidency cohorts (every election year except 2006 and 2014, whose windows straddle a presidential transition), so the elected configuration is fixed over the window; by term year, the premium there is 0.133, 0.073, 0.061, and 0.026. Column (3) additionally excludes year-3–4 state-years that precede an upcoming close race. Panel B estimates the county transfer PPML of Table 13, Column (3), on the constant-presidency term panel. Standard errors in parentheses, clustered by state × year. $^{*}p < 0.1$; $^{**}p < 0.05$; $^{***}p < 0.01$.